

Name: _____

Score: _____

552 Multiple choice questions

Term

1 of 552

The los under a watercraft endorsement is covered if it arises out of:

- ☐ the use of the watercraft for business party
- ☐ market conduct regulation
- ☐ The benefits are tailored to the group
- ☐ yes under the personal property party of his HO policy

Term

2 of 552

Under the liability portion of an unendorsed personal auto policy, what coverage is available if the named insured is operating a company car on a regular basis

- ☐ the named insured from the declaration page, exclusive
- ☐ the policy exclude this usage
- ☐ business owners policy
- ☐ 75% of the limit

Term

3 of 552

If an insured under a personal auto policy leaves a covered auto dealer for repairs, and the auto is involved in an accident while being test driven by employee of the dealer, how will the personal auto policy respond to liability claims

- ☐ the personal auto policy is excess
- ☐ the broadest coverage on any auto shown in the declarations
- ☐ the neighbor's policy is primary and the driver's policy is excess
- ☐ the policy exclude this usage

Term

4 of 552

which of the following is considered special damages

- ☐ Coverage for property damage repairs
- ☐ Payment for emotional distress
- ☐ Compensation for time away from work
- ☐ Reimbursement for medical expenses

Term

5 of 552

Under a scheduled personal property endorsement, loss to stamps is excluded when they are:

- ☐ excess and surplus lines insurer
- ☐ the producer is a surplus lines broker
- ☐ by adding a personal injury endorsement
- ☐ being shipped with freight company

Term

6 of 552

What is an additional coverage provided by HO3 policy

- ☐ Methods of risk management
- ☐ the producer is a surplus lines broker
- ☐ tree, shrubs, and other plants
- ☐ The chance of loss only

Term

7 of 552

Your commercial auto policy insured needs coverage for his liability arising out of his employee using their o cars in his own cars in his business. The best way to be sure your insured is covered is to:

- ☐ theft only losses
- ☐ \$80,000 on the dwelling; \$16,000 garage
- ☐ include employers non ownership liability coverage in employer's commercial auto policy
- ☐ dwelling, other structures, and personal property

Definition

8 of 552

when less than 31% of the building space is rented to other or in use by the insured

- ☐ If more than 50% of the building space is rented to others
- ☐ If the entire building is used by the insured for storage
- ☐ If the property is fully occupied by tenants
- ☐ If a property owner is insured under a building and personal property insurance form, when is the property considered vacant

Term

9 of 552

All of the following are areas that market regulation cover EXCEPT

- ☐ Employee training
- ☐ Equipment quality
- ☐ Sales
- ☐ Repair standards

Definition

10 of 552

make all necessary repairs to protect the property from further damage. The expenses is paid by the insured

- ☐ The best definition of the term "collision" as found in a personal auto policy is which of the following?
 - If the named insured has been charged with arson in reference to a total loss to the insured's building, what effect will the insured's action have on the mortgage holder's claim for damages?
- ☐ A hoe is damages two hours after an earthquake, first by fire and then by fuel pipes burting and causing an explosion. Under a homeowner's HO3 form:
- ☐ An insured duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT a correct statement about these duties? The insured must:

Term

11 of 552

- The word "materiality" applies to the concept of concealment and representation. Which of these is true in this regard?
- ☐ the large amount of resources needed for some catastrophic losses
 - ☐ the materiality of any information in this regard is determined by the influence of the fact on each party in determining their estimates of the disadvantages of the proposed contract
 - ☐ a "palm pilot" computer (owned by the insured) is stolen from the vehicle while parked in the insured's driveway. There are forcible signs of the vehicle
 - ☐ Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land

Term

12 of 552

Which of the following is not listed on a commercial general liability declarations page as an aggregate limit?

- ☐ products/completed limit
- ☐ Weight of contents
- ☐ they may not use race color, religion, or national origin as condition to use higher rate
- ☐ number of listed drivers

Term

13 of 552

What of the following is NOT one the three main types of insurance losses

- ☐ Sentimental loss
- ☐ Financial loss
- ☐ Auto accident
- ☐ Direct loss

Term

14 of 552

X is in an accident with Y. X suffers \$5000 of damage but it is determined that X is 60% responsible for the accident. How much would X receive under CONTRIBUTORY negligence rules?

- ☐ maintaining the best interest of customers first and foremost
- ☐ money
- ☐ \$150,000
- ☐ \$0

Term

15 of 552

What is the primary reason for co-insurance clauses in property policies

- ☐ to reduce premiums for low-risk properties
- ☐ to limit the insurer's liability in case of underinsurance
- ☐ to discourage frequent claims by the insured
- ☐ to encourage insured's to purchase coverages near the value of the property

Term

16 of 552

• Which of the following insurance professionals would be employed to aid an insurance broker

- ☐ life analyst.
- ☐ underwriter
- ☐ life agent
- ☐ insurance solicitor

Term

17 of 552

In California. Excess and surplus lines coverage needs to be placed through

- ☐ a limited insurance representative
- ☐ any insurance producer
- ☐ a surplus lines broker
- ☐ a foreign insurer

Term

18 of 552

A home is damaged two hours after an earthquake, first by fire, then by fuel pipes bursting and causing an explosion. Under an HO3 form:

- ☐ collision coverage, comprehensive coverage, or specified peril coverage's
- ☐ there is coverage, but only for the damage caused by the fire and explosion
- ☐ Receive full payment for the loss, if the required premium has been paid
- ☐ this limit could reduce the products and completed operations

Term

19 of 552

The water damage exclusion in the cause of loss- special for applies to all the following, EXCEPT:

- ☐ the policy will pay all needed expense the insured incurs for the rental car to the stated limits found in the policy
- ☐ plumbing system leakage
- ☐ insured risk and peril
- ☐ Tort law

Term

20 of 552

A practicing physician would need the type of professional liability coverage that is contained in a medical malpractice policy because:

- ☐ there is coverage, but only for the damage caused by the fire and explosion
- ☐ professional liability and malpractice losses are excluded in commercial general liability policies
- ☐ when the insurance company representative signs the notice of appointment
- ☐ large limbs and branches of a tree that have fallen into the street as a result of a windstorm. The insured collides with them

Term

21 of 552

Which of the following lines of insurance would cover the loss of net income a business incurs due to a fire

- ☐ number of listed drivers
- ☐ A situation that offers the possibility for a loss or gain
- ☐ business income insurance
- ☐ basic, broad and special

Term

22 of 552

What is the requirement and what is provided under the Mexico coverage endorsement to a PAP in California?

- ☐ A vehicle that is self-insured because it is owned by a state agency
- ☐ Liability loss exposure
- ☐ provide liability coverage (excess) for any accident in Mexico with 25 miles of the us border
- ☐ Replacement cost less depreciation

Term

23 of 552

An open peril policy protects against the loss from

- ☐ Any peril, other than those specifically excluded
- ☐ Specific perils listed in the policy
- ☐ Only named perils
- ☐ Perils covered by additional endorsements

Term

24 of 552

Which of the following perils is included in the broad form, but not in the basic form

- ☐ an unfair practice
- ☐ falling objects
- ☐ .An at fault accident involving minor bodily injury
- ☐ Other-than-collision coverage

Term

25 of 552

Which of the following is most likely to be eligible for CA FAIR plan?

- ☐ a contract of insurance that is temporary, only in writing, between the insured and the insurer
- ☐ a well- maintained dwelling located in a hazardous brush area
- ☐ liability, uninsured motorist, medical payments, collision and other than collision
- ☐ the content and wording of the policy is stated in the state insurance code

Term

26 of 552

Your HO3 insured wants to make sure he has liability protection against claims for false arrest, libel and slander. You should

- ☐ auto and personal liability only
- ☐ the first named insured and the insurer
- ☐ the insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%
- ☐ tell him he should add the personal injury endorsement

Term

27 of 552

• What type of insurance company has owners who are stockholder in company and who share in the profits of the company?

- ☐ stock insurance companies
- ☐ mutual insurance companies
- ☐ captive insurance companies
- ☐ bond insurance companies

Term

28 of 552

of the following which is true characteristic about insurance

- ☐ it is a way of eliminating risk
- ☐ it is considered a method of transferring risk
- ☐ it is a strategy for avoiding risk
- ☐ it is considered a method of increasing risk

Term

29 of 552

The business income coverage form covers the actual loss of business income sustained due to necessary suspension of operations. The loss of income must

- ☐ be caused by an insured peril, otherwise there is no coverage
- ☐ the content and wording of the policy is stated in the state insurance code
- ☐ by adding a personal injury endorsement
- ☐ other vessels that receive collision damage from the insured vessel

Term

30 of 552

what is the main purpose of tort law

- ☐ to punish offenders for their actions
- ☐ to determine financial responsibility for damage
- ☐ to prevent future accidents from occurring
- ☐ to resolve disputes without financial considerations

Term

31 of 552

• The insurance code definition of "insurance broker" is

- ☐ someone paid to transact insurance on behalf of another person, but not on behalf of the insurer
- ☐ someone paid to transact insurance on behalf of the insurer
- ☐ someone who sells insurance directly to consumers
- ☐ someone authorized to manage insurance claims for the insurer

Term

32 of 552

Which of the following is not a type property commonly insured by using a comical coverage

- ☐ Built- in appliance
- ☐ Basic principle of insurance
- ☐ Insurane service office and American association of insurances
- ☐ automobiles while kept for the owner in a commercial parking garage

Term

33 of 552

Of the following choices, which is correct regarding why a motorcycle is not automatically covered under a personal auto policy?

- ☐ the mortgagee is entitled to receive 100% of their loss
- ☐ Receive full payment for the loss, if the required premium has been paid
- ☐ an unendorsed personally auto policy does not automatically cover two wheeled vehicles
- ☐ Excluded under the concurrent causation

Term

34 of 552

• How do insurance regulators view a statement made by an agent to a prospective insured that the dividends of an insurance contract are guaranteed each year?

- ☐ this would be considered a misrepresentation
- ☐ this is acceptable as long as it is in writing
- ☐ this is allowed if approved by the insurance company
- ☐ this would be considered a standard practice

Term

35 of 552

An insurer that has a certificate of authority in California is

- ☐ **consealment**
- ☐ **neither of these apply**
- ☐ **amitted**
- ☐ **insolvent**

Term

36 of 552

A commercial building which is a combination office, retail, and warehouse space, has been left vacant by its owners for more than 60 consecutive days. In what manner will an insurance company respond to loss that occurs, which is covered under the commercial building and personal property coverage form which has a broad form cause of loss a on the building

- ☐ **make all necessary repairs to protect the property from further damage. The excludes that part of the loss resulting from the enforcement of a building ordinance or law**
- ☐ **any part of the loss which is caused by the perils of vandalism, theft or glass breakage, sprinkler leakage will not be covered**
- ☐ **breakage of glassware by an earthquake**
- ☐ **it must be the result of a peril that is insured under the policy, otherwise there will be no coverage**

Term

37 of 552

What perils are insured against under the "additional coverage's property removed" of a homeowners policy?

- ☐ **all perils**
- ☐ **Financial loss**
- ☐ **awnings**
- ☐ **falling objects**

Term

38 of 552

• A licensed fire and casualty broker-agent when properly appointed may transact all of the following except

- ☐ paid time off
- ☐ workers compensation
- ☐ automobile insurance
- ☐ health insurance

Term

39 of 552

Mary has an HO3 policy with replacement cost coverage on the insured buildings. The cost of replacement on the dwelling is \$100,000, and the other structure (a garage) is \$20,000. To be certain of replacement cost coverage on a partial loss to either structure, she must carry a minimum of

- ☐ the professional designation "CPCU" is acceptable following the name of any fire and casualty underwriter
- ☐ \$80,000 on the dwelling; \$16,000 garage
- ☐ Conditions
- ☐ life insurance

Term

40 of 552

Which type of exposure can be best be defined as a condition or situation for any exposure or financial loss is presented to an individual or family by such cause as injury disability, death or sickness

- ☐ Property loss exposure
- ☐ Financial loss exposure
- ☐ Personal loss exposure
- ☐ Worker's compensation exposure

Term

41 of 552

Max's personal auto policy (PAP) has liability and collision coverage. His neighbor's car has liability coverage only. Max borrows his neighbor's car to go the store and has an accident that is his fault. He damages his neighbor's car another car. Max PAP provides

- ☐ liability coverage that is excess of his neighbor's liability coverage. His collision coverage also applies, but on primary basis
- ☐ the cost of repairing the neighbor's fence that Steven damage due to the negligent operation of his car
- ☐ all coverage under the personal auto policy
- ☐ all coverage is in force in the personal auto policy

Term

42 of 552

All of the following are common policy conditions under the commercial lines program, EXCPET

- ☐ basic, broad and special
- ☐ number of listed drivers
- ☐ insured risk and peril
- ☐ Personal loss exposure

Term

43 of 552

Which is an additional coverage does a DP2 have compared to a DP1

- ☐ additional living expense
- ☐ additional living expenses
- ☐ the insured desires broader coverage
- ☐ Built- in appliance

Term

44 of 552

What does a supplemental extended reporting period endorsement provide?

- ☐ Physical
- ☐ plubing system leakage
- ☐ liabiilty if the insured vessel strikes a marina and injures a dock worker
- ☐ extends the filling reporting period indefinitely

Term

45 of 552

Which of items of real property under HO3 are valued on an actual cash value basis?

- ☐ Built- in appliance
- ☐ there is no difference
- ☐ Lost wages
- ☐ products/completed limit

Term

46 of 552

What is one difference between a homeowners policy and dwelling policy for personal property coverage?

- ☐ professional athletes and coaches
- ☐ excess and surplus lines insurer
- ☐ there is no appreciable difference
- ☐ covered as other collision loss

Term

47 of 552

A car is insured using a personal auto policy. The car is damaged by hail. The loss is:

- ☐ farming or ranching
- ☐ open or all-risk coverage
- ☐ it transacts insurance according to laws of the state of California
- ☐ covered as other collision loss

Term

48 of 552

All of the following would be considered benefits of insurance EXCEPT

- ☐ Transfer of risk to the insurer
- ☐ Coverage for unexpected events
- ☐ Retention of the loss by the insured
- ☐ Financial protection against losses

Term

49 of 552

What must a licensee do in order to surrender for cancellation a license in their possession?

- ☐ deliver the document itself to the commissioner
- ☐ file the document with the county clerk
- ☐ mail a copy of the document to the commissioner
- ☐ destroy the document and notify the commissioner

Term

50 of 552

The limited Mexico endorsement applies to trips to Mexico with duration of

- ☐ Toronto, Canada
- ☐ A loss only
- ☐ collapse
- ☐ 10 days or less

Term

51 of 552

Which of the following choices is NOT covered under section 2 of a homeowners policy?

- ☐ Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land
- ☐ does not have the authority to collect premiums from producing broker agents.
- ☐ the named insured's (non-resident) spouse
- ☐ the insured being liable for a bodily injury to someone in the insured's immediate resident family

Term

52 of 552

Which of the following does not have a standard coverage form in common use?

- ☐ common policy declaration and conditions
- ☐ umbrella policy
- ☐ plumbing system leakage
- ☐ Tort law

Term

53 of 552

Which of the following is reason why someone would purchase a Dwelling policy instead of an HO3?

- ☐ broader coverage is desired
- ☐ riot or civil commotion
- ☐ a well- maintained dwelling located in a hazardous brush area
- ☐ the named insured's(non-resident) spouse

Term

54 of 552

The loss exposures in the following situations resulting in bodily injury or property damage claims are all excluded under a commercial general liability policy EXCEPT

- ☐ A Patron of the insured business is injured by an employee of the insured, at the customer's residence. The employee was at the residence to perform the carpentry services that the business provides
- ☐ expense of repairing a neighbor's wall, surrounding a garden, that Jackie accidentally backed through
- ☐ the insured is car- pooling to work with her neighbor when they are in an accident. Both are injured and incur almost \$3000 each in medical expenses. The insured and her neighbor would each be paid \$2000 from the policy
- ☐ DVD player all in one unit. He collides with a parked car and destroys the new TV. How would this loss be covered?/ the homeowners policy-personal property coverage

Term

55 of 552

You meet with a small furniture manufacturer and make a property and liability insurance recommendation. You have insured many risk of this type in the past and have a good idea of what their needs may be. There are several popular ways of determining business loss exposure. Which of the following ways are the least professional and least likely to correctly identify the loss exposure?

- ☐ deliver the document itself to the commissioner
- ☐ transact business only with non admitted insurers
- ☐ get a copy of all current policies and determine what coverages they have been carrying and how much they have been paying
- ☐ file a notice of appointment with the commissioner

Term

56 of 552

Under tort law a corporation can be subject to a claim for legal liability on the basis,

- ☐ Absolute liability
- ☐ Vicarious liability
- ☐ Commercial general liability
- ☐ Contingent liability

Term

57 of 552

Which property is excluded under an HO3 policy?

- ☐ guard dog
- ☐ the vessel itself
- ☐ Other collision
- ☐ physical damage, liability and medical payments

Term

58 of 552

• An insurance company pays a loss and continues coverage under an auto policy under the following circumstances. An insured honestly thinking that he received his last traffic ticket more than 36 months ago. Applies for an auto policy stating that he has had not ticket or accidents in the past 36 months. Several days after the policy is issued the insured's car is stolen. While the claim is being processed the insurance company discovers that the insured had received his most recent traffic ticket for speeding 32 months ago. Why is the claim paid and the policy

- ☐ the concealed facts were not material, they would paid the claims anyways
- ☐ this would be considered a misrepresentation
- ☐ the applicant has previously has a licenses application denied for cause within the past five years
- ☐ they are subject to the, all of the above

Term

59 of 552

What type of policy protect against loss from any peril except those that are specifally excluded

- ☐ Specified peril
- ☐ Named peril
- ☐ Perils insured
- ☐ All-risk or open peril

Term

60 of 552

Of the following loss scenarios, identify the one that is excluded from coverage under both the collision and other than collision coverage of an insured's PAP

- ☐ a 12 hour course on ethics and CA code
- ☐ a "palm pilot" computer (owned by the insured) is stolen from the vehicle while parked in the insured's driveway. There are forcible signs of the vehicle
- ☐ these types of vehicles(motorcycles, and other types of non-automobiles) are not covered under a personal auto policy that is unendorsed
- ☐ large limbs and branches of a tree that have fallen into the street as a result of a windstorm. The insured collides with them

Term

61 of 552

What are the licensing requirements for individuals that are permitted to sell the California FAIR plan?

- ☐ company funds and securities that are stolen by an employee
- ☐ individuals having a fire & casualty broker- agent license
- ☐ the named insured's(non-resident) spouse
- ☐ there is the convenience all coverage being contained in one policy, which typically contains package discounts

Term

62 of 552

Kim's car is insured with a personal auto policy. The coverage includes medical payments with \$2000 limits, which of the following is true statement about the medical payment coverage for necessary medical expenses?

- ☐ the driver's license of the individual who usually operates the vehicle that is insured by the policy and who is insured by the policy has had license suspended temporarily
- ☐ Kim gives her neighbor ride to the store in the insured car. She has an auto accident in which they each incur over \$2000 in medical expenses. The maximum that Kim's policy will pay is \$2000 to her and \$2000 to her neighbor
- ☐ what type or types of insurance, from the following list, may this individual sell, auto, property insurance
- ☐ If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded

Term

63 of 552

Which of the following would be know as the process whereby an insurer determine appropriate changes for its policies

- ☐ Rate-making
- ☐ Sales
- ☐ Marketing
- ☐ Underwriting

Term

64 of 552

If a motor home is scheduled on a miscellaneous type of vehicle endorsement, all of the following property covered, EXCEPT

- ☐ awnings
- ☐ paintings
- ☐ tv antennas
- ☐ outdoor swimming pools

Term

65 of 552

What else must an applicant for a fire and casualty license . life agent license. Or personal lines agent license complete in addition to pre- classroom study?

- ☐ a 15 hour seminar on insurance products
- ☐ a 24 hour course on financial planning
- ☐ a 6 hour workshop on sales techniques
- ☐ a 12 hour course on ethics and CA code

Term

66 of 552

The limit of liability in a personal auto policy providing coverage for "damage to your automobile" is stated as " the lesser of the amount necessary to replace or repair the damaged property (vehicle) or the _____(fill in the blank from the choice below

- ☐ physical damage coverage
- ☐ actual cash value of the damaged or stolen property
- ☐ differ and therefore avoids any over- laps between the two contracts
- ☐ a 12 hour course on ethics and CA code

Term

67 of 552

What coverage is available under the miscellaneous type vehicle endorsement?

- ☐ limited coverage for specific repairs
- ☐ all coverage under the personal auto policy
- ☐ no coverage under the personal auto policy
- ☐ liability coverage only

Term

68 of 552

What does it mean if an agent's license is inactive?

- ☐ the agent is authorized to sell policies for a limited time
- ☐ the agent cannot transact any insurance business for valid, active license is required
- ☐ the agent can transact business with approval from the insurer
- ☐ the agent can only transact life insurance business

Term

69 of 552

The possibility of financial loss resulting from the ownership of property is know as

- ☐ Insurable interest
- ☐ Other collision
- ☐ Pure risk
- ☐ Utmost good faith

Term

70 of 552

A commercial lines policy contains a number of conditions. which of these is not one these conditions?

- ☐ the personal auto policy is excess
- ☐ plubing system leakage
- ☐ plumbing system leakage
- ☐ perils insured by the policy

Definition

71 of 552

the insured's right to recover payment from a responsible 3rd party

- ☐ The exclusion for liquor liability found in a commercial general liability policy excludes coverage for any liability claims that are the result of:
- ☐ Where do most states require insurers to file policy forms?
- ☐ the term "subrogation" refers to
- ☐ What does a "pure risk" consist of ?

Term

72 of 552

What is the coverage under a homeowners policy that is personal property of the insured, when personal property is away from the premises, while the insured is traveling anywhere in the world/

- ☐ the identical coverage limits to that of coverage personal property on the premises
- ☐ make sure all necessary repairs to protect the property from further damage. The expense is paid by the insured
- ☐ the applicant for the insurance has had no previous license denied for cause with previous 5 years
- ☐ there is coverage, but only for the damage caused by the ensuing fire and explosion

Term

73 of 552

• If an insured signs a claim form a claim which is fraudulent the insured may be guilty of

- ☐ misdemeanor
- ☐ physical
- ☐ concealment
- ☐ perjury

Term

74 of 552

An insured' duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT correct statement about these duties? The insured must:

- ☐ make sure all necessary repairs to protect the property from further damage. The expense is paid by the insured
- ☐ the insured regularly uses, at the permission of his employer, a company owned car and has an accident with the vehicle
- ☐ the mortgagee is entitled to receive 100% of their loss
- ☐ it must be the result of a peril that is insured under the policy, otherwise there will be no coverage

Definition

75 of 552

what type or types of insurance, from the following list, may this individual sell, auto, property insurance

- ☐ An insured duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT a correct statement about these duties? The insured must:
- All licensees must be appointed by the insurance companies they represent in order to
- ☐ sell the lines of insurance that a particular insurer may offer. Assuming that a licensed fire and casualty broker/agent has received the proper appointment

- An insured living in California has the following coverage's under PAP: with liability,
- ☐ medical payments, and loss other than collision. The individual vehicle is stolen from her driveway and then totally wrecked. Which of the following cover this loss?
- ☐ What is the primary difference between umbrella and excess liability policies/

Term

76 of 552

If an insurer pays an insured \$25000 in lost wages,\$45,000o for physically visits and hospital cost and \$15,000 for physical therapy treatments and later finds out that the claim was faudent the insured may be fined as much as 000 in lost wages,\$45,000o for physically visits and hospital cost and \$15,000 for physical therapy treatments and later finds out that the claim was faudent the insured may be fined as much as

- ☐ \$15000
- ☐ \$111000
- ☐ \$170000
- ☐ \$102000

Term

77 of 552

What would be the reason(s) for \$100 deductible versus a \$1000 deductible

- ☐ Reason for the loss event that leads up to loss
- ☐ Neither of these apply
- ☐ Receive full payment for the loss, if the required premium has been paid
- ☐ Replacement cost less depreciation

Definition

78 of 552

or B of the commercial general liability (CGL) contract contains coverage for: /advertising injury

- ☐ Coverage's A and
- ☐ • The insurance code definition of "insurance broker" is
- ☐ A homeowners policy that includes a "scheduled personal property endorsement " provides coverage which of the following?
- ☐ Under a yacht policy, protection and indemnity provides coverage for

Term

79 of 552

What exactly do umbrella policies provide coverage for?

- ☐ tree, shrubs, and other plants
- ☐ broad excess liability coverage over two or more underlying policies
- ☐ allow the company to inspect the damaged property before it is repaired
- ☐ Amount to replace the damaged property without a deduction for depreciation

Term

80 of 552

Which of the following cities would fall within the policy territory limits of PAP issued by an insurer in the state of california?

- ☐ Vancouver,Canada
- ☐ Underwriting
- ☐ the approximate dollar amount of an insurer's liability of at least one (or more)open claims
- ☐ Vicarious liability

Term

81 of 552

What will happen when an agent's appointment to an insurance company is terminated and the agent has no other appointment with any other insurance company?

- ☐ The agent's permanent license becomes inactive
- ☐ The agent's license remains active indefinitely
- ☐ The agent's license is suspended temporarily
- ☐ The agent's license is automatically revoked

Term

82 of 552

Which of the following would be used for a new single-family dwelling?

- ☐ HO6
- ☐ an employee accidentally getting injured, at a customer's home while working at the customer's home
- ☐ HO5
- ☐ riot or civil commotion

Term

83 of 552

Identify which of the following is always included in a commercial package policy?

- ☐ being shipped with freight company
- ☐ umbrella policy
- ☐ common policy declaration and conditions
- ☐ the named insured's(non-resident) spouse

Term

84 of 552

Which of the following coverage parts is not found in standard commercial policy?

- ☐ property insured under coverage A
- ☐ there is no appreciable difference
- ☐ the dwelling property coverage part
- ☐ additional cost necessary to make a restroom ADA compliant

Term

85 of 552

Company that negotiates and binds ceding reinsurance on behalf of an insurer is considered

- ☐ representative of the consumer
- ☐ managing general agent
- ☐ terminating producer
- ☐ resident producer

Term

86 of 552

What is the primary difference between an HO3 and an HO5?

- ☐ Duty, breach, proximate cause, damages
- ☐ ACV = replacement cost minus depreciation
- ☐ all of the above
- ☐ coverage C broad named perils

Term

87 of 552

All of the following would be considered benefits of insurance except

- ☐ Coverage for unexpected events
- ☐ Transfer of risk to the insurer
- ☐ Retention of loss by the insured
- ☐ Financial protection against future losses

Term

88 of 552

The limits of medical expense coverage in a workers' compensation policy is:

- ☐ broader coverage is needed by the insured
- ☐ both provide open peril coverage for the dwelling
- ☐ not limited for either the time and/or the dollar amount
- ☐ liability coverage for watercraft listed on the schedule

Term

89 of 552

Which of the following persons is not an insured under section 1 of a homeowners policy?

- ☐ property insured under coverage A
- ☐ Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land
- ☐ riot or civil commotion
- ☐ the named insured's(non-resident) spouse

Term

90 of 552

Representation as to the future is considered which of the following

- ☐ momentum
- ☐ promise
- ☐ harvest
- ☐ personality

Term

91 of 552

Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?

- ☐ property insured under coverage A
- ☐ the perils insured against
- ☐ Other-than-collision coverage
- ☐ the insured desires broader coverage

Term

92 of 552

Mary has an HO3 policy with replacement cost coverage on the insured buildings. The cost of replacement on the dwelling is \$100,000, and the other structure(a garage) is \$20,000. To be certain of replacement cost coverage on a partial loss to either structure, she must carry a miniumum of

- ☐ The benefits are tailored to the group
- ☐ HO3
- ☐ \$80,000 on the dwelling; \$16,000 garage
- ☐ the named non-owned coverage endorsement

Definition

93 of 552

are included in vacancy permit endorsement?/ all of the above

- ☐ Which of the following perils is included in the broad form, but not in the basic form
- ☐ An automobile insurance company is permitted to cancel a personal auto policy for which of the following reasons?
- ☐ Which coverage's are typically provided in a boat owners policy?
- ☐ Which peril(s) is

Term

94 of 552

The commercial property conditions included a condition called " liberalization". The effect of this condition is

- ☐ To automatically apply broader coverage to the commercial property coverage part if a policy form revision would broaden coverage without an addition premium
- ☐ To exclude certain coverages from the commercial property coverage part
- ☐ To restrict coverage to specific perils only
- ☐ To require additional premiums for broader coverage

Term

95 of 552

Which coverage's are typically provided in a boat owners policy?

- ☐ ACV=replacement cost minus depreciation
- ☐ physical damage, liability and medical payments
- ☐ There is usually no direct correlation between the amount of general and special damages awarded to the victim
- ☐ the insured desires broader coverage

Term

96 of 552

What is one way in which the HO2, HO4, and HO6 are similar?

- ☐ perils insured against under coverage C
- ☐ wheter the rate mathematically reflects the insurance company's investment income
- ☐ it is considered a method of transferring risk
- ☐ the large amount of resources needed for some catastrophic losses

Term

97 of 552

When must insurance records for insurance agents and insurance broker be made available to the insurance commissioner?

- ☐ all times
- ☐ only before the insurance is in effect
- ☐ twice per week
- ☐ around 90 seconds

Term

98 of 552

- Which of the following best defines a binder
 - ☐ a contract of insurance that is temporary, only in writing, between the insured and the insurer
 - ☐ a permanent insurance policy between the insured and the insurer
 - ☐ a preliminary quote that is not binding until finalized
 - ☐ a verbal agreement for insurance coverage between the agent and the insured

Term

99 of 552

What is the primary medical payment coverage difference between a boat owners policy and HO3 policy?

- ☐ common policy declaration and conditions
- ☐ the boat owners policy covers injuries to the people on the boat, and the HO3 covers injuries to other outside the home
- ☐ Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land
- ☐ the neighbor's policy is primary and the driver's policy is excess

Term

100 of 552

The watercraft endorsement on a homeowners policy extends coverage for

- ☐ it transact insurance according to laws of the state of California
- ☐ liability coverage for watercraft listed on the schedule
- ☐ The amount to replace damage property minus depreciation
- ☐ actual cash value of the stolen or damaged property

Term

101 of 552

If a named insured is not the owner of the building, improvements and betterments are covered under the

- ☐ broader coverage is desired
- ☐ insured risk and peril
- ☐ business personal property
- ☐ covered as an other-than- collision loss

Term

102 of 552

Where is ocean marine liability insurance found?

- ☐ physical damage coverage
- ☐ Replacement cost less depreciation
- ☐ additional living expense
- ☐ protection and indemnity coverage

Term

103 of 552

An organization will cease too exist as an entity eliglble to hold a licesense for all of the following reasons EXCEPT

- ☐ signing a covering note
- ☐ termination of key employee
- ☐ possible fraudulent claims made by insured's
- ☐ prior approval

Term

104 of 552

- How is an admitted insurer defined according to California DOI?
- ☐ it is exempt from California insurance regulations
 - ☐ it specializes in international insurance
 - ☐ it operates without state approval
 - ☐ it transact insurance according to laws of the state of California

Term

105 of 552

- The California insurance code contains requirements concerning the requirements for name approval for all insurance licensees. These requirements included which of the following?
- ☐ the professional designation "cic" is mandatory following the name of any health insurance advisor
 - ☐ the professional designation "clu" is required following the name of any life insurance agent
 - ☐ the professional designation "CPCU" is acceptable following the name of any fire and casualty underwriter
 - ☐ the professional designation "p&c" is acceptable following the name of any property insurance broker

Term

106 of 552

What is self- insured retention under an umbrella policy?

- ☐ a deductible applicable to losses excluded by the underlying coverage and covered by the umbrella
- ☐ coverage for sickness or injuries illnesses that are job related without regard to who is at fault or negligent
- ☐ paint on the premises to be applied to the interior
- ☐ protection and indemnity coverage

Term

107 of 552

Which of the following statements is NOT true? A fire and casualty agent

- ☐ does not have the authority to collect premiums from producing broker agents.
- ☐ is authorized to issue policies directly to customers
- ☐ can bind coverage on behalf of the insurer
- ☐ is permitted to negotiate terms with insurance companies

Term

108 of 552

What is one peril included in DP2 that is not included in a DP1

- ☐ falling objects
- ☐ liability and medical payments
- ☐ there is no appreciable difference
- ☐ open or all-risk coverage

Term

109 of 552

Damage which is the result of a hailstorm, in which of the following ways under a personal auto policy?

- ☐ covered as an other-than- collision loss
- ☐ notice must be sent with return receipt required
- ☐ covered as other than collision loss
- ☐ the dwelling property coverage part

Term

110 of 552

The collision coverage of a the personal auto policy covers?

- ☐ damage caused by the insured, driving into a fallen tree, that fell during a storm
- ☐ Perils other than those specifically named as being excluded
- ☐ hitting any other vehicle or object with the insured vehicle, or the upset of the insured vehicle
- ☐ allow the company to inspect the damaged property before it is repaired

Term

111 of 552

An individual who lives next to nuclear power plant is exposed to which of the following types of hazard

- ☐ Social
- ☐ Economic
- ☐ Political
- ☐ Physical

Term

112 of 552

Every admitted insurer in the state of California is required to maintain a unit or division to investigate which of the following?

- ☐ marketing and advertising strategies
- ☐ policy renewals and updates
- ☐ possible fraudulent claims made by insured's
- ☐ customer service enhancements

Term

113 of 552

The ordinance or law exclusion/limitation found in property policies such as the commercial property coverage, and in the homeowner policy have the following effect:/

- ☐ Montreal, Canada
- ☐ auto and personal liability only
- ☐ HO3
- ☐ it excludes that part of the loss resulting from the enforcement of a building ordinance or law

Term

114 of 552

In the business of insurance. The act of concealment is defined by all of the following statement EXCEPT

- ☐ concealment occurs only if intentional
- ☐ concealment is irrelevant if the information is public
- ☐ concealment does not occur if no inquiry is made
- ☐ concealment is permissible if the insurer is aware of the facts

Term

115 of 552

• Which of the following statements is true regarding the material of representations and concealment?

- ☐ it is determine by the affect of the facts on each party to the contract in determining his or her estimate of the disadvantages of the contract
- ☐ office building 2 stories high and containing about 5,000 square feet
- ☐ the insured being liable for a bodily injury to someone in the insured's immediate resident family
- ☐ Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land

Term

116 of 552

According to the CA insurance code a binder is deemed a valid insurance policy for the purpose of providing that the insurance coverage specified in the binder for each of the following types of insurance EXCEPT

- ☐ disability income insurance
- ☐ auto insurance
- ☐ life insurance
- ☐ disability insurance

Term

117 of 552

A dwelling fire policy's coverage is to a homeowners policy, as a commercial property policy's coverage is to a:

- ☐ basic, broad and special
- ☐ business owners policy
- ☐ pro basketball player
- ☐ stock insurance companies

Term

118 of 552

In a commercial lines program policy common policy condition do not include which of the following as a condition?,

- ☐ Perils insured
- ☐ Excluded under the earth movement exclusion
- ☐ Excluded under the concurrent causation
- ☐ Lost wages

Term

119 of 552

What clause is commonly used to require the insured's purchase insurance close to the value of the property

- ☐ Standard mortgage clause
- ☐ Coinsurance clause
- ☐ Subrogation clause
- ☐ Appraisal clause

Term

120 of 552

An insured's vehicle is stolen. Following this the insured rents a replacement vehicle for two months until her auto is repaired by the insurer. Will her personal auto policy pay for the cost of the rental, and if so how?

- ☐ the policy will pay all needed expense the insured incurs for the rental car to the stated limits found in the policy
- ☐ Tort law
- ☐ common policy declaration and conditions
- ☐ business owners policy

Term

121 of 552

The medical payments coverage found in a commercial general liability applies to which of the following categories of individuals

- ☐ these are all covered
- ☐ makes carrying insurance of percentage of the building value advisable to avoid a possible
- ☐ the insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%
- ☐ the insured's customers who are in the process of transacting business on the insured's premises

Term

122 of 552

Fred is named insured on a commercial property policy insuring a commercial building. Fred burns the building down and is convicted of arson. Fred's commercial property policy conditions state that:

- ☐ the concealed facts were not material, they would paid the claims anyways
- ☐ the broadest coverage on any auto shown in the declarations
- ☐ broadest coverage for any vehicle shown on the declarations
- ☐ the mortgagee of the insured property can recover on this loss

Term

123 of 552

An umbrella policy:

- ☐ generally represent only one insurer
- ☐ provides broad excess liability coverage over one or more primary polcies
- ☐ physical damage, liability and medical payments
- ☐ Amount to replace the damage property without a deduction for depreciation

Term

124 of 552

Coverage part A of a commercial package policy, specifically inland

- ☐ collision coverage, comprehensive coverage, or specified peril coverage's
- ☐ the insured regularly uses, at the permission of his employer, a company owned car and has an accident with the vehicle
- ☐ marine coverage, includes coverage for all of the following types of property EXCEPT/ vehicles that are stored for the owner in a commercial public parking lot
- ☐ the DOI require agents and brokers to maintain records of the compensation they receive for providing premium financing service for 3 years

Term

125 of 552

RW and associates is an agency which represents BLG insurance corporation. RW and associates may leave the name BLG insurance corporation in its advertisements by clearly stating the relationship between the two business in any of the following ways ; EXCEPT

- ☐ RW And Associates partnered with BLG Insurance Corporation
- ☐ RW And Associates authorized by BLG Insurance Corporation
- ☐ RW And Associates endorsed by BLG Insurance Corporation
- ☐ RW And Associates underwriting for Blg insurance Corporation

Term

126 of 552

Which of the following would be covered by the physical damage section of a personal auto policy?

- ☐ number of listed drivers
- ☐ the named insured's(non-resident) spouse
- ☐ none of these are covered
- ☐ riot or civil commotion

Term

127 of 552

All of the following would not be eligible for coverage under the California FAIR, EXCEPT

- ☐ excess liability coverage, on a broader basis, above an underlying primary policy
- ☐ a home well taken care and is located in specially designated hazardous brush fire area
- ☐ both personal activities and premises of the insured as well as any activities of the insured that occurs off the named premises
- ☐ Other-than-collision coverage

Term

128 of 552

Which of the following coverage's may you buy with a NAMED OPERATOR POLICY? (choose the most complete answer)

- ☐ liability, uninsured motorist, medical payments, collision and other than collision
- ☐ liability, medical payments, collision, roadside assistance
- ☐ liability, property damage, uninsured motorist, rental reimbursement
- ☐ liability, collision, comprehensive, personal injury protection

Term

129 of 552

How much coverage, if any, is available under HO3 for landlord's furnishings?

- ☐ ...\$2,500
- ☐ collapse
- ☐ omitted
- ☐ \$37,500

Term

130 of 552

Which of the following is an insurer's option when making a settlement with the insured under a personal auto policy?

- ☐ provide a rental car for the duration of the settlement process
- ☐ replace the vehicle with a newer model
- ☐ return stolen property to the address shown in the policy
- ☐ repair the damaged property at the insurer's facility

Term

131 of 552

Where do most states require insurers to file policy forms?

- ☐ the guaranty association
- ☐ the insurance department
- ☐ the independent insurance association of america
- ☐ the state

Term

132 of 552

The amount to replace property with "like property of the same quality and construction" is the properties

- ☐ There is no difference
- ☐ Stated value
- ☐ Assessment value
- ☐ Replacement value

Term

133 of 552

A policy called "builder's risk" would be found in which of the following circumstances

- ☐ it provides the convenience of one policy for all exposures and risk
- ☐ none
- ☐ Absolute liability
- ☐ building in the process of being constructed

Term

134 of 552

• For more serious offenses and conviction an application for a license can be denied without a hearing which of the following circumstances would allow for an application to be denied for an insurance license WITHOUT A HEARING

- ☐ the applicant for the insurance has failed to pass the licensing exam multiple times
- ☐ the applicant for the insurance has a minor traffic violation on record
- ☐ the applicant for the insurance has had a previous license suspended for cause within the past year
- ☐ the applicant for the insurance has had no previous license denied for cause with previous 5 years

Term

135 of 552

What is one of the principle rating factor under proposition 103 allowed for personal auto policies?

- ☐ safety driving record
- ☐ make of the auto
- ☐ number of listed drivers
- ☐ number of miles driven annually

Term

136 of 552

All of the following are considered an uninsured motor vehicle according to policy definitions found in a personal auto policy, EXCEPT

- ☐ notice must be sent with return receipt required
- ☐ organized, chartered, or incorporated under the law of state of California
- ☐ does not have the authority to collect premiums from producing broker agents.
- ☐ A vehicle that is self-insured because it is owned by a state agency

Term

137 of 552

Why would an insured want to use HO3 policy instead of dwelling policy?

- ☐ riot or civil commotion
- ☐ Neither of these apply
- ☐ broader coverage is needed by the insured
- ☐ suspend the agent's license

Term

138 of 552

In the state of CA no rate will remain in effect if it is considered to be any of the following except

- ☐ procedural
- ☐ organized, chartered, or incorporated under the law of state of California
- ☐ accurate
- ☐ impartial

Term

139 of 552

What right does an insurer have as far as auditing the books and records of an insured according to the conditions of a commercial property policy?

- ☐ perform an audit while policy is in force & up to three after expiration or termination of policy
- ☐ when less than 31% of the building space is rented to other or in use by the insured
- ☐ expense of repairing a neighbor's wall, surrounding a garden, that Jackie accidentally backed through
- ☐ there is coverage, but only for the damage caused by the ensuing fire and explosion

Term

140 of 552

The phrase "80% coinsurance" in the commercial property field refers to:

- ☐ it transact insurance according to laws of the state of California
- ☐ the insured regularly uses, at the permission of his employer, a company owned car and has an accident with the vehicle
- ☐ the insured must maintain insurance coverage equal to 80% of the value of the property as well as receiving a lower premium; otherwise a coinsurance penalty will be imposed in the event of a loss
- ☐ the insurance department

Term

141 of 552

Named insured on a commercial insurance policy is "sam stone and dan Sullivan DBA S&S bar and grill" if the insurer cancels the policy, they are required to mail or deliver written notice to

- ☐ The insured
- ☐ An endrorsment
- ☐ All-risk or open peril
- ☐ Only san stone

Term

142 of 552

An insured has a personal auto policy and did not pay the initial insurance premium when it due. The insurer cancels the policy for non- payment. How much days' notice must the insure give?

- ☐ 10 days
- ☐ 30 days
- ☐ 5 days
- ☐ 15 days

Term

143 of 552

What must a life agent travel agent, or fire and casualty insurance agent do in order to act as an agent of a particular insurer?,

- ☐ file a notice of appointment with the commissioner
- ☐ complete a certification with the state bar association
- ☐ obtain approval from the insurer's board of directors
- ☐ file a notice of termination with the commissioner

Term

144 of 552

The PAP collision deductible is \$1000 and other than collision deductible is \$500. How much would the insurer pay for an accident involving the overturn of one vehicle resulting in \$2000 of damage

- ☐ \$1000
- ☐ \$1500
- ☐ \$500
- ☐ \$1200

Term

145 of 552

The personal auto policy" coverage for damage to your own automobile" states that the limit of liability is lesser of the amount necessary to repair or replace the property or the:

- ☐ maintaining the best interest of customers first and foremost
- ☐ prior approval method
- ☐ actual cash value of the stolen or damaged property
- ☐ the broadest coverage on any auto shown in the declarations

Term

146 of 552

Under an unendorsed personal auto policy, transportation expense coverage applies to

- ☐ collision and other than collision losses
- ☐ none, there is no coverage
- ☐ other than collision losses only
- ☐ theft only losses

Term

147 of 552

A reduction in value of property that results immediately from damage to the property is know as

- ☐ Direct loss
- ☐ Subrogation
- ☐ Indirect loss
- ☐ Other collision

Term

148 of 552

Which homeowners form is best for use on a brand- new single family dwelling?

- ☐ additional living expense
- ☐ ...\$2,500
- ☐ all of these are covered
- ☐ HO5

Term

149 of 552

The personal property coverage part of an unendorsed HO3 form covers which of the following/

- ☐ liability, uninsured motorist, medical payments, collision and other than collision
- ☐ "all risks", coverage applies to real property , broad form named perils coverage applies to personal property
- ☐ liability coverage for watercraft listed on the schedule
- ☐ damage to the insured's living room furniture that is result of the furniture being removed from the insured premise to prevent it from further damage after a covered fire at the same premises

Term

150 of 552

What do the initials S.t.A.R.R reperesent?

- ☐ Personnel loss exposure
- ☐ Methods of risk mamagement
- ☐ Conditions
- ☐ Worker' compensation

Term

151 of 552

Under a personal umbrella policy, what underlying coverage's must an insured typically maintain?

- ☐ auto and personal liability only
- ☐ possible fraudulent claims made by insured's
- ☐ HO3
- ☐ \$30,000

Term

152 of 552

Which of the following does not have a standard coverage form?

- ☐ Worker' compensation
- ☐ collapse
- ☐ Weight of contents
- ☐ umbrella policy

Term

153 of 552

The water damage exclusion in the cause of loss- special for applleies to all athe following, EXCEPT:

- ☐ umbrella policy
- ☐ plumbing system leakage
- ☐ Personnel loss exposure
- ☐ plubing system leakage

Term

154 of 552

When may a representation be withdrawn?

- ☐ once the insurance claim is filed
- ☐ after the insurance is in effect
- ☐ only before the insurance is in effect
- ☐ during the policy renewal period

Term

155 of 552

Under a personal auto policy(PAP), how would the damage sustained to an insured vehicle as the result of an earthquake be covered?

- ☐ when the insurance company representative signs the notice of appointment
- ☐ greater number of smaller claims sent to the insurer
- ☐ under the other- than-collision section of the policy
- ☐ license number of hit and run vehicle

Term

156 of 552

A private passenger vehicle is added to an insurance policy. The CA insurance code

- ☐ smoke damage from industrial operations
- ☐ make no mention of vehicle inspection requirement
- ☐ liability coverage for watercraft listed on the schedule
- ☐ the insured desires broader coverage

Term

157 of 552

An insured living in California has the following coverage's under PAP: with liability, medical payments, and loss other than collision. The individual vehicle is stolen from her driveway and then totally wrecked. Which of the following cover this loss?

- ☐ other than collision coverage
- ☐ broadest coverage for any vehicle shown on the declarations
- ☐ coverage C broad named perils
- ☐ excess and surplus lines insurer

Term

158 of 552

If an insured purchased an all- terrain vehicle(ATV), what endorsement can be added to the personal auto policy to insure the vehicle?

- ☐ special provisions endorsement
- ☐ motor home endorsement
- ☐ auto loan/lease coverage endorsement
- ☐ miscellaneous type vehicle endorsement

Term

159 of 552

Damaged caused by burglary of personal property is not covered under which dwelling form(except by endorsement)

- ☐ business income insurance
- ☐ basic form
- ☐ Rate-making
- ☐ Liability loss exposure

Term

160 of 552

In a commercial property the insurance claim is denied because of the insured action's. the mortgage holder will in most cases,

- ☐ Have the claim transferred to another party
- ☐ Lose the right to any payment
- ☐ Still have right to receive the full amount of the loss a payment
- ☐ Receive only a partial payment

Term

161 of 552

• When does the license of a fire and casualty broker- agent become inactive?

- ☐ when the broker/agent has no appointment with any insurance company, but licensing renewal fee have paid and CE requirement have been met
- ☐ when the broker/agent transfers their license to another state, but maintains an appointment with an insurance company
- ☐ when the broker/agent fails to pay licensing fees, but has an appointment with an insurance company
- ☐ when the broker/agent does not meet continuing education requirements, but has paid licensing fees

Term

162 of 552

all of the following are requirements for a notice by mail to an insured by insurer except

- ☐ notice must be sent with return receipt required
- ☐ notice must be acknowledged by the insured
- ☐ notice must be sent via certified mail
- ☐ notice must be delivered in person

Term

163 of 552

Which of the following coverage's may you buy with a named non-owner liability policy?
(choose the most complete answer)

- ☐ none
- ☐ license number of hit and run vehicle
- ☐ liability and medical
- ☐ liability, uninsured motorist, medical payments, collision and other than collision

Term

164 of 552

the state laws that regulate insurer practice regarding underwriting sales, rate-making, and claims handling are called,

- ☐ market conduct regulation
- ☐ risk classification regulation
- ☐ solvency surveillance regulation
- ☐ financial solvency regulation

Term

165 of 552

To be covered for a hit and run accident under the uninsured motorist property damage coverage of a PAP, what is required to be provided to the insurer

- ☐ description of the hit and run vehicle's make and model
- ☐ license number of hit and run vehicle
- ☐ name of the driver in the hit and run vehicle
- ☐ insurance policy number of the hit and run vehicle

Term

166 of 552

What would an insurer likely pay if the following were the details surrounding an accident for which the insured was at fault and had bodily injury policy limits of \$25,000 per person and \$50,000 per occurrence? Three people injured: #1-\$11,000, #2-\$26,000 and #3-\$12,000

- ☐ promise
- ☐ insolvent
- ☐ Underwriting
- ☐ \$48,000

Term

167 of 552

The products and completed operations hazard would apply to which of the following situations

- ☐ bodily injury to a customer as the result of a defective manufactured by the insured
- ☐ automobiles while kept for the owner in a commercial parking garage
- ☐ someone shoots Dick's car rear window while the car is parked on the street overnight
- ☐ they may not use race color, religion, or national origin as condition to use higher rate

Term

168 of 552

Items that are paid on replacement cost is defined as the

- ☐ Amount to repair the damaged property with depreciation
- ☐ Market value of the property at the time of loss
- ☐ Amount to replace the damage property without a deduction for depreciation
- ☐ Original purchase price with depreciation

Term

169 of 552

The best definition of the term "collision" as found in a personal auto policy is which of the following?

- ☐ If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded
- ☐ the approximate dollar amount of an insurer's liability of at least one (or more) open claims
- ☐ Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land
- ☐ hitting any other vehicle or object with the insured vehicle, or the upset of the insured vehicle

Term

170 of 552

Under abuilding and personal property coverage form, if the insured has been vacant for more than 60 consecutive days. What effect will this have on vandalism loss

- ☐ Personnel loss exposure
- ☐ Neither of these apply
- ☐ the producer is a surplus lines broker
- ☐ the loss is excluded

Term

171 of 552

All of the following loss exposures are covered under the liability section of a homeowner's policy, EXCEPT

- ☐ makes carrying insurance of percentage of the building value advisable to avoid a possible
- ☐ the insured is using his new personal auto, fully registered and licensed, on his premises which includes a large parcel of undeveloped land
- ☐ the increased expense incurred for the insurer to repair or rebuild property according to building code specification
- ☐ jewelry, fur, musical instrumental, and camera for dollar value amounts decided by the insurer

Term

172 of 552

The type of homeowners contract that should be considered and then purchased by one of your prospective insured's, who is a tenant renting 2,500sq foot 2 story house is which of the following

- ☐ actual cash value of the damaged or stolen property
- ☐ HO4
- ☐ Only san stone
- ☐ named non-owner coverage endorsement

Term

173 of 552

• All of the following are characteristic of ideally insurable loss exposure EXCEPT:

- ☐ large number of exposure units
- ☐ large number of similar exposure units
- ☐ losses that are catastrophic
- ☐ losses that are definite and measurable
- ☐ 4 large number of exposure units

Term

174 of 552

What steps need to taken to terminate a licensee's license that is in the possession of an employer?

- ☐ the licensee must surrender the license to the employer
- ☐ the employer needs to notify the insurance commissioner
- ☐ the insurance commissioner automatically terminates the license
- ☐ the licensee needs to give written notice of intent to the insurance commissioner

Term

175 of 552

What is the limit per day for a transportation expense in an unendorsed personal auto policy in the event of theft, after it is reported and automobile is not returned within 48 hours of theft

- ☐ \$20
- ☐ \$50
- ☐ \$10
- ☐ \$30

Term

176 of 552

Which of the following would be considered special damages?

- ☐ Lost wages
- ☐ Pain and suffering
- ☐ Damaged property
- ☐ Loss of an index finger

Term

177 of 552

The personal auto policy territory limits include

- ☐ or B of the commercial general liability (CGL) contract contains coverage for:
advertising injury
- ☐ someone paid to transact insurance on behalf of another person, but not on behalf of the insurer
- ☐ transact business only with non admitted insurers
- ☐ Montreal, Canada

Term

178 of 552

The watercraft endorsement on homeowners policy extends coverage for

- ☐ \$80,000 on the dwelling; \$16,000 garage
- ☐ a private passenger auto owned by a partnership
- ☐ commercial general liability
- ☐ liability coverage for watercraft listed on schedule

Term

179 of 552

What additional coverage's are available under the scheduled personal property endorsement that is not available under an unendorsed homeowners policy?

- ☐ the insured desires broader coverage
- ☐ breakage of glassware by an earthquake
- ☐ Excluded under the concurrent causation
- ☐ under the other- than-collision section of the policy

Term

180 of 552

Which of the following types of businesses could utilize a business owners policy?

- ☐ office building 2 stories high and containing about 5,000 square feet
- ☐ liability and medical
- ☐ The structure that is exposed a loss, the perils that may occur, consequently causing a loss possible financial impact of loss
- ☐ return stolen property to the address shown in the policy

Term

181 of 552

• In the state of California how is a domestic insurer defined according to the California DOI code?

- ☐ organized in another state
- ☐ incorporated under international law
- ☐ organized, chartered, or incorporated under the law of state of California
- ☐ chartered under federal law

Term

182 of 552

An employee is operating their own car for their employer. The individual injures a person in a area as result of negligent drivng. The reson why the employer would be held liable is because of which of the following?

- ☐ Gross negligence
- ☐ Contractual liability
- ☐ Absolute liability
- ☐ Vicarious liability

Term

183 of 552

A homeowners policy that includes a "scheduled personal property endorsement " provides coverage which of the following?

- ☐ jewelry, fur, musical instrumental, and camera for dollar value amounts decided by the insurer
- ☐ the professional designation "CPCU" is acceptable following the name of any fire and casualty underwriter
- ☐ the claim would be paid under "other-than-collison" coverage
- ☐ insurance company and/ or the first named insured in the policy

Term

184 of 552

What endorsement can be used to insure a motorcycle under a personal auto policy?

- ☐ miscellaneous type vehicle endorsement
- ☐ perils insured against under coverage C
- ☐ Liability loss exposure
- ☐ riot or civil commotion

Term

185 of 552

What items of personal property are included in a coverage A under HO3 policy

- ☐ return stolen property to the address shown in the policy
- ☐ paint on the premises to be applied to the interior
- ☐ must hold a permanent license
- ☐ theft of stock from the business, owned by the policyholder, by an employee

Term

186 of 552

The theft of the insured would be covered under

- ☐ physical damage coverage
- ☐ the uncertainty of a loss
- ☐ losses that are catastrophic
- ☐ does not have a time nor a dollar limit

Definition

187 of 552

liability coverage for watercraft listed on schedule

- ☐ What type of homeowners's policy provides open peril coverage?
- ☐ In the state of CA no rate will remain in effect if it is considered to be any of the following except
- ☐ The watercraft endorsement on homeowners policy extends coverage for
- ☐ The personal auto policy territory limits include

Term

188 of 552

What is the difference between per accident limit in a split limits policy and single limits

- ☐ coverage C broad named perils
- ☐ there is no difference
- ☐ the loss is excluded
- ☐ Coinsurance clause

Term

189 of 552

The execution of a policy involves which of the following?

- ☐ cancelling a policy
- ☐ signing a covering note
- ☐ discussing policy limits with client
- ☐ sending the prospect an email suggesting that they buy a certain type of policy

Term

190 of 552

Who is considered the first party to an insurance contract

- ☐ The beneficiary
- ☐ The insured
- ☐ The spouse of the policyowner
- ☐ The owner of the shop

Term

191 of 552

The process where by a mutul insurer becomes a stock company is called

- ☐ Demutalization
- ☐ Reorganization
- ☐ Underwriting
- ☐ Subrogation

Term

192 of 552

Coverage for personal property under an HO4 with no deductible. Provide coverages for personal property for the insured while vacationing in Europe: the bed and breakfast inn. The hotel they are staying at burns down, the insured's clothing and suitcase are destroyed from the fire: clothing and suitcase--\$ 20,000 (replacement cost), jewelry--\$ 20,000(replacement cost). Additionally , all of this property has depreciated by 20% in value. What will the insurer pay under this policy?

- ☐ \$32,000
- ☐ collapse
- ☐ Lost wages
- ☐ basic, broad, and special

Term

193 of 552

Which of the following combinations of characteristics should be considered when making an insurance recommendation to a prospective insured that has just purchased a new office building?

- ☐ The structure that is exposed a loss, the perils that may occur, consequently causing a loss possible financial impact of loss
- ☐ The occupancy rate, the maintenance costs, the zoning regulations
- ☐ The size of the building, the type of construction, the rental income potential
- ☐ The location of the building, the age of the structure, the market value of the property

Term

194 of 552

What is the limit for sound reproducing equipment under the coverage endorsement for excess sound reproducing equipment, audio, visual and data electronic, tapes, record, disks and other media

- ☐ HO6
- ☐ \$200
- ☐ 10 days
- ☐ The agent's permanent license becomes inactive

Term

195 of 552

Under a standard (ISO)HO3, real property and personal property are covered for the perils on

- ☐ it transact insurance according to laws of the state of California
- ☐ to the premises described and to the personal activities of the insured's on or off of the premises
- ☐ requires physical signs of forcible entry or exit
- ☐ "all risks", coverage applies to real property, broad form named perils coverage applies to personal property

Term

196 of 552

This statement that is true regarding medical expense coverage in a worker's compensation policy is

- ☐ no because each company want the ability to establish their own pricing
- ☐ it contains an unlimited amount of coverage for both time and dollar amount
- ☐ liability, uninsured motorist, medical payments, collision and other than collision
- ☐ bodily injury to a customer as the result of a defective manufactured by the insured

Term

197 of 552

• How is an "insurance broker" defined according to the California insurance code?

- ☐ a consultant who advises on insurance matters without selling policies
- ☐ an individual who receives compensation for transacting insurance on behalf of another person, but not on behalf of an insurance company
- ☐ an agent who transacts insurance on behalf of multiple insurers
- ☐ an individual who works solely for an insurance company

Term

198 of 552

In a claims-made commercial general liability policy, which of the following begins when the policy period ends, and is activated when the policy is cancelled or not renewed?

- ☐ the neighbor's policy is primary and the driver's policy is excess
- ☐ the policy automatically provides the higher necessary limits without an extra premium
- ☐ basic extended reporting period
- ☐ Damage for breach, reasonable attorney fee and cost

Term

199 of 552

Your insured has a personal auto policy that provides medical payment coverage \$2000. Of the following statements, which is true regarding the amount payable under this section of the policy?

- ☐ the DOI require agents and brokers to maintain records of the compensation they receive for providing premium financing service for 3 years
- ☐ the insured is car- pooling to work with her neighbor when they are in an accident. Both are injured and incur almost \$3000 each in medical expenses. The insured and her neighbor would each be paid \$2000 from the policy
- ☐ the driver's license of the individual who usually operated the vehicle that is insured by the policy and who is insured by the policy has had his licenses suspended
- ☐ these are all covered in addition to the limits stated in the policy contract

Term

200 of 552

What does the California FAIR plan provide coverage for?

- ☐ dwelling, other structures, and personal property
- ☐ the spouse of the insured (not living in the same residence)
- ☐ homes located in a hazardous brush or high risk urban areas
- ☐ impartial

Term

201 of 552

- With respect to premium finance compensation service which statement are /is true
- ☐ the DOI requires agents and brokers to maintain records of the compensation they receive for providing premium financing service for 5 years
 - ☐ the DOI does not require agents and brokers to maintain records of the compensation they receive for providing premium financing service
 - ☐ the DOI require agents and brokers to maintain records of the compensation they receive for providing premium financing service for 3 years
 - ☐ the DOI requires agents and brokers to maintain records of the compensation they receive for providing premium financing service for 1 year

Term

202 of 552

A policy may not be transferred to another without

- ☐ Written consent of the insured
- ☐ Implied consent of the insured
- ☐ Verbal agreement of the insured
- ☐ Notification to the insurer only

Term

203 of 552

How can as insured ensure that she has protection against possible claims for libel, slander, and false arrest under an HO3 policy?

- ☐ farming or ranching
- ☐ the insured desires broader coverage
- ☐ by adding a personal injury endorsement
- ☐ there is no appreciable difference

Term

204 of 552

Why would an employer be held legally liable for the negligent operation by employee who is driving a vehicle on behalf of the employer and cause an injury to a pedestrian

- ☐ The principle of direct liability
- ☐ The rule of independent contractor responsibility
- ☐ The doctrine of employer negligence
- ☐ The principle of vicarious liability

Term

205 of 552

for any type of risk exposure to be considered an ideally insurable risk which of the following characteristics does not have to exist, there is very little

- ☐ frequent claims during the policy period
- ☐ detailed documentation of past losses
- ☐ a high probability of loss occurring
- ☐ if any chance a loss happening during the policy period

Term

206 of 552

a person can base his/her claim for liability on the basis of all of the following EXCEPT

- ☐ lost wages
- ☐ breach of contract
- ☐ termination of key employee
- ☐ breach of liability

Term

207 of 552

Which are the characteristics of negligence

- ☐ Losses that are catastrophic
- ☐ Duty, breach, proximate cause, damages
- ☐ Disability, death, sickness, of valuable employee, Personnel loss exposure
- ☐ Financial loss

Term

208 of 552

A home is damaged two hours after an earthquake, first by fire and then by fuel pipes bursting and causing an explosion. Under a homeowner's HO3 form:

- ☐ there is coverage, but only for the damage caused by the ensuing fire and explosion
- ☐ it transacts insurance according to laws of the state of California
- ☐ whether the rate mathematically reflects the insurance company's investment income
- ☐ There is no difference

Term

209 of 552

Which of the following is not an uninsured motor vehicle as defined by personal auto policies uninsured motorist coverage?

- ☐ liability coverage for watercraft listed on schedule
- ☐ the insured's customers who are in the process of transacting business on the insured's premises
- ☐ a vehicle owned by state agency which self-insures its auto
- ☐ these are all covered

Term

210 of 552

The term "proximate cause " is best defined by which of the following?

- ☐ An accidental event with no direct cause
- ☐ A negligent act that causes bodily injury or property damage that follows a sequence of uninterrupted, but related chains of events
- ☐ A deliberate act that causes immediate property damage
- ☐ A natural disaster leading to unavoidable loss

Term

211 of 552

What additional coverage is provided in DP3 that is not included in DP1?

- ☐ Mutalization
- ☐ breakage of glassware by an earthquake
- ☐ collapse
- ☐ Lost wages

Term

212 of 552

Business auto policies(BAP) Contain which of the following combinations of physical damage coverage's

- ☐ other vessels that receive collision damage from the insured vessel
- ☐ not limited for either the time and/or the dollar amount
- ☐ of profits due to suspension of business operations because of a premises fire
- ☐ collision coverage, comprehensive coverage, or specified peril coverage's

Term

213 of 552

What does ocean marine hull insurance cover?

- ☐ the vessel itself
- ☐ the perils insured against
- ☐ Auto accident
- ☐ additional living expenses

Term

214 of 552

What is the primary difference between a HO2 and HO3 policy?

- ☐ Compensation for time away from work
- ☐ the perils insured against
- ☐ Personal loss exposure
- ☐ Weight of contents

Term

215 of 552

In reference to the coverage's provided in basic form, the boat owners policy is similar to what other policy?

- ☐ plumbing system leakage
- ☐ the personal auto policy
- ☐ number of listed drivers
- ☐ professional athletes and coaches

Term

216 of 552

Thomas fry has insured a building under his commercial policy. The building was vacant for 75 consecutive days before a loss. The policy will not pay for the loss if caused by the perils of

- ☐ Vicarious liability
- ☐ the mortgagee of the insured property can recover on this loss
- ☐ building glass breakage and vandalism
- ☐ the first named insured

Term

217 of 552

What does a "pure risk" consist of ?

- ☐ the insured desires broader coverage
- ☐ Stock insurance companies
- ☐ The chance of loss only
- ☐ coverage C broad named perils

Term

218 of 552

Who has the right to request cancellation of a commercial lines policy

- ☐ the first named insured and the insurer
- ☐ theft
- ☐ termination of key employee
- ☐ sending the propect an email suggesting that they buy a certain type of policy

Term

219 of 552

Which of the following is the reason that an insured should not be making any kind of profit as the result of an insurance claim/loss being paid but rather, the payment should restore the insured to the financial status that existed prior to the loss with no chance of any type of profit,

- ☐ Law of supply and demand
- ☐ Law of large numbers
- ☐ Basic principle of insurance
- ☐ Written consent of the insured

Term

220 of 552

All of the following are requirements for a notice by mail to an insured by an insurer EXCEPT

- ☐ notice must be acknowledged by the insured
- ☐ notice must be sent with return receipt required
- ☐ notice must be sent via certified mail
- ☐ notice must be delivered in person

Term

221 of 552

If an insured with a personal auto policy has an accident in a state with personal injury protection, how does the policy respond?

- ☐ coverage automatically is broadened to provide PIP
- ☐ a homeowner decides not to install a pool in the backyard
- ☐ named non-owned liability coverage
- ☐ notice must be sent with return receipt required

Term

222 of 552

A representation in an insurance contract qualifies as which of the following?

- ☐ an express warranty
- ☐ an implied warranty
- ☐ an amendment
- ☐ an absolute fact

Term

223 of 552

The collision coverage of the personal auto policy does not cover the following loss situations; EXCEPT

- ☐ be caused by an insured peril, otherwise there is no coverage
- ☐ the applicant has previously has a licenses application denied for cause within the past five years
- ☐ large limbs and branches of a tree that have fallen into the street as a result of a windstorm. The insured collides with them
- ☐ the materiality of any information in this regard is determined by the influence of the fact on each party in determining their estimates of the disadvantages of the proposed contract

Definition

224 of 552

When there is negligence whether proven or not

- ☐ A person can base his/her claim for liability on the basis of all of the following EXCEPT
- ☐ Under tort law a corporation can be subject to a claim for legal liability on the basis,
Laura is driving her own car on behalf of her employer laura's negligent operation of her car injures a member of public. The employer may be held liable because of what is called.,
- ☐ Absolute risk(liability) is imposed

Term

225 of 552

Under California financial responsibility law the minimum financial responsibility for accidents that involve several people injured in one accident, is

- ☐ \$10,000
- ☐ \$50,000
- ☐ \$30,000
- ☐ \$15,000

Term

226 of 552

Which of the following is also know as a human loss exposure

- ☐ Liability loss exposure
- ☐ Financial loss exposure
- ☐ Personal loss exposure
- ☐ Worker's compensation exposure

Term

227 of 552

What exactly does a policy know as "open peril" protect against

- ☐ Perils specifically named as inclusions in the policy
- ☐ Perils listed as mandatory exclusions in the policy
- ☐ Perils not specially named as exclusions in the policy
- ☐ Perils covered only by additional riders

Term

228 of 552

Under a personal auto policy. If a newly acquired auto is to replace the covered auto with liability coverage only, how long does the insured have to request collision coverage?

- ☐ subrogation
- ☐ \$150,000
- ☐ Excluded under the concurrent causation
- ☐ 4 days

Term

229 of 552

A is an accident with B. A suffer\$10000 of damage but it is determined that A is 25% responsible for accident. how much would a receive under COMPARATIVE negligence rules

- ☐ \$9000
- ☐ \$8000
- ☐ \$7500
- ☐ \$5000

Term

230 of 552

How are the HO3 and HO5 Similar?

- ☐ both provide open peril coverage for the dwelling
- ☐ the broadest coverage on any auto shown in the declarations
- ☐ additional cost necessary to make a restroom ADA compliant
- ☐ When there is negligence whether proven or not

Term

231 of 552

All of the following expenses are covered in addition to the limits of a liability under coverage a of a personal auto policy except

- ☐ Vancouver,Canada
- ☐ insured risk and peril
- ☐ pre judgment
- ☐ notice must be sent with return receipt reuired

Term

232 of 552

What type of insurance company is owned by individuals that are stockholder in the company; and share in the profits of the company?

- ☐ Mutual insurance companies
- ☐ Stock insurance companies
- ☐ Bond insurance companies
- ☐ Captive insurance companies

Term

233 of 552

What would be the most optimal way to be sure your client, the owner of a commercial auto policy, would be able to obtain liability coverage exposures resulting from employee using their own vehicles in your client's business? To obtain liability coverage exposures resulting from employees using their own vehicle in your client's business?

- ☐ purchase employer's non- ownership liability coverage in the commercial auto policy
- ☐ the licensee needs to give written notice of intent to the insurance commissioner
- ☐ only if an endorsement is attached to the policy and comes from the insurer
- ☐ If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded

Term

234 of 552

Coverage under a comprehensive personal liability policy or a homeowners section 2 extends:

- ☐ when the broker/agent has no appointment with any insurance company, but licensing renewal fee have paid and CE requirement have been met
- ☐ to the premises described and to the personal activities of the insured's on or off of the premises
- ☐ excess liability coverage, on a broader basis, above an underlying primary policy
- ☐ If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded

Term

235 of 552

The broadest form of crime coverage is:

- ☐ the special form
- ☐ HO4
- ☐ guard dog
- ☐ theft

Term

236 of 552

Medical payment coverage in boat owners policy cover injuries to:

- ☐ permissive occupants of the insured's boat
- ☐ covered as an other-than- collision loss
- ☐ automobiles while kept for the owner in a commercial parking garage
- ☐ the exclusion for care, custody and control

Term

237 of 552

The phrase "aggregate limit" is found and defined in a commercial general liability policy. Which of the these is true about this limit?

- ☐ it is liability coverage, on an excess basis , provided for losses that occur in Mexico, within 25 miles of the California/Mexico international border
- ☐ this limit could reduce the products and completed operations
- ☐ the minimum liability for CAARP policies are 15000/30000/5000
- ☐ less depreciation, is know as the, Actual cash value

Term

238 of 552

What must an insurer do who accept from an agent who is not specifically appointed by the insurer and then issues a policy from that application

- ☐ reject the application and return it to the agent immediately
- ☐ file a complaint with the insurer within 7 days of receipt of application
- ☐ ignore the application as it was not submitted by an appointed agent
- ☐ forward to the commissioner a notice of appointment with 14 days of receipt of application.

Term

239 of 552

If an insured rents vehicle while on vacation in the U.S, what coverage is provided under the personal auto policy?

- ☐ all coverage is in force in the personal auto policy
- ☐ customers being on the insured's premises
- ☐ An estimate or the amount that the insurer will pay
- ☐ Still have right to receive the full amount of the loss a payment

Term

240 of 552

Which exclusion in the "causes of loss-special form" excludes coverage for mudflow

- ☐ Weight of contents
- ☐ collapse
- ☐ Toronto,Canada
- ☐ water(flood)

Term

241 of 552

What is the primary difference between umbrella and excess liability policies/

- ☐ the umbrella covers most liability exposure; the excess liability will cover only one line
- ☐ none of these are excluded from the power and authority given to fire and casualty managing general agent
- ☐ Liability loss exposure
- ☐ theft of stock from the business, owned by the policyholder, by an employee

Term

242 of 552

JAE Computer Company is being sued by Stack Company for an advertising campaign stack computer feels false and misleading. JAE company would find coverage for losses which could result from this lawsuit under which category of insurance:

- ☐ requires agents to keep records of any compensation they may have received for their services involved with premium financing
- ☐ the repair expenses that are needed to fix the damage to neighbor's fence that was the result the insured negligently driving through it while driving unsafely
- ☐ jewelry, fur, musical instrumental, and camera for dollar value amounts decided by the insurer
- ☐ commercial general liability

Term

243 of 552

Which of the following perils is covered by a "causes of loss-basic form"?

- ☐ riot or civil commotion
- ☐ Other collision
- ☐ the named insured's(non-resident) spouse
- ☐ business income insurance

Term

244 of 552

Which party is allowed to cancel a commercial policy (assuming all legal requirements are met)?

- ☐ does not included the products- completed operation aggregate limit
- ☐ Conditions
- ☐ insurance company and/ or the first named insured in the policy
- ☐ dwelling, other structures, and personal property

Term

245 of 552

Which of the following coverage's is a property insurance coverage.

- ☐ Direct loss
- ☐ Other collision
- ☐ Personal loss exposure
- ☐ Riot or civil commotion

Term

246 of 552

All of the following are parties to surety bond, EXCEPT

- ☐ the perils insured against
- ☐ inherent defect
- ☐ bondsman
- ☐ Personal loss exposure

Term

247 of 552

The amount to replace an insured's damaged property

- ☐ Replacement value without depreciation
- ☐ Original cost plus appreciation
- ☐ less depreciation, is know as the, Actual cash value
- ☐ Market value at the time of loss

Term

248 of 552

A personal auto policy (PAP) insured's car was a total loss when the car was stolen and wrecked. The insured has the following coverage: liability, medical payments, and "other than collision". Her PAP

- ☐ "other than collision" will pay for the loss
- ☐ all coverage is in force in the personal auto policy
- ☐ medical payments will cover the loss
- ☐ liability will pay for the loss

Term

249 of 552

There is a "changes" condition found in a commercial lines policy that says that the policy has within it all the agreements between the insured and the insurer regarding the insurance that is being provided. Additionally, this condition further provides that the policy terms can be waived or amended by which of the following terms?

- ☐ actual cash value of the damaged or stolen property
- ☐ collision coverage, comprehensive coverage, or specified peril coverage's
- ☐ to encourage insured's to purchase coverages near the value of the property
- ☐ only if an endorsement is attached to the policy and comes from the insurer

Term

250 of 552

The part of the policy that states the amount of coverage the insured property policy period is

- ☐ Declaration
- ☐ Warranty
- ☐ Bylaws
- ☐ Articles Of Incorporation

Term

251 of 552

What course of action does a party to a contract have if the other party is found to be in breach of that contract

- ☐ Mediation with no compensation
- ☐ Damage for breach, reasonable attorney fee and cost
- ☐ Termination of contract without recourse
- ☐ Negotiation with no legal fees

Term

252 of 552

what of the following is not considered an intentional tort?

- ☐ Fire damage to a building
- ☐ Murder
- ☐ Auto accident
- ☐ Explosion

Term

253 of 552

Why is a newly acquired motorcycle not automatically covered under the terms and conditions of a personal auto policy?

- ☐ the insured desires broader coverage
- ☐ theft of stock from the business, owned by the policyholder, by an employee
- ☐ it must be the result of a peril that is insured under the policy, otherwise there will be no coverage
- ☐ these types of vehicles(motorcycles, and other types of non-automobiles) are not covered under a personal auto policy that is unendorsed

Term

254 of 552

Ordinance or law coverage provides protection which of the following losses

- ☐ these are all covered
- ☐ \$80,000 on the dwelling; \$16,000 garage
- ☐ the increased expense incurred for the insurer to repair or rebuild property according to building code specification
- ☐ makes carrying insurance of percentage of the building value advisable to avoid a possible

Term

255 of 552

One difference between a robbery peril and burglary peril is that he burglary peril:

- ☐ make no mention of vehicle inspection requirement
- ☐ claims also covered by personal auto policy medical payment
- ☐ requires physical signs of forcible entry or exit
- ☐ insurance solicitor

Term

256 of 552

One example of a loss covered by business income insurance is a loss:

- ☐ a well- maintained dwelling located in a hazardous brush area
- ☐ the approximate dollar amount of an insurer's liability of at least one (or more) open claims
- ☐ provides broad excess liability coverage over one or more primary policies
- ☐ of profits due to suspension of business operations because of a premises fire

Term

257 of 552

the amount paid for property damage which is equal to price for which it could have sold is

- ☐ market value
- ☐ book value
- ☐ stated amount
- ☐ assessed value

Term

258 of 552

In a commercial property policy, which causes of loss includes coverage for the peril of glass breakage?

- ☐ basic, broad, and special
- ☐ the broad and special form
- ☐ the insured's customers who are in the process of transacting business on the insured's premises
- ☐ the increased expense incurred for the insurer to repair or rebuild property according to building code specification

Term

259 of 552

Which of the following loss exposures is not covered by section 2 of Ron's homeowners policy?

- ☐ liability, uninsured motorist, medical payments, collision and other than collision
- ☐ Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land
- ☐ broader coverage is desired
- ☐ There is an equal exchange of amounts or values within the contract

Term

260 of 552

Which of the following is not only reason that an insurer can cancel an automobile insurance policy?

- ☐ Perils other than those specifically named as being excluded
- ☐ collapse
- ☐ the driver's license of the individual who usually operated the vehicle that is insured by the policy and who is insured by the policy has had his licenses suspended
- ☐ does not have the authority to collect premiums from producing broker agents.

Term

261 of 552

What is the minimum number of days that an insurer must give an insured, prior to canceling a policy for non-payment?

- ☐ 10 days
- ☐ \$37,500
- ☐ the perils insured against
- ☐ the identical coverage limits to that of coverage personal property on the premises

Term

262 of 552

With regards to insurance applicability the word "risk" can be best defined as which of the following?

- ☐ The frequency of a loss occurring
- ☐ The uncertainty associated with a loss occurring
- ☐ The certainty of a loss occurring
- ☐ The severity of a loss when it occurs

Term

263 of 552

A homeowners policy contains liability insurance coverage under section 2. Which of these would be covered under this part of the policy/

- ☐ the owner does not reside in the dwelling
- ☐ the increased expense incurred for the insurer to repair or rebuild property according to building code specification
- ☐ these are all covered
- ☐ "other than collision" will pay for the loss

Term

264 of 552

The ordinance or law exclusion/limitation found in property policies such as the commercial property coverage, and in the homeowner policy have the following effect:

- ☐ it excludes that part of the loss resulting from the enforcement of a building ordinance or law
- ☐ life insurance
- ☐ building in the process of being constructed
- ☐ the earliest date that a loss or event may occur and still be eligible for coverage under the policy

Term

265 of 552

Which of the following is covered under worker's compensation policy

- ☐ Perils other than those specifically named as being excluded
- ☐ If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded
- ☐ products/completed limit
- ☐ an employee accidently getting injured, at a customer's home while working at the customer's home

Term

266 of 552

in an unendorsed claims-made general liability policy how long does an insured have to report a claim which occurred during the policy perio

- ☐ 120 days
- ☐ 60 days
- ☐ 30 days
- ☐ 90 days

Term

267 of 552

Diamonds Toy Company is being sued for a death caused by a child choking on a piece from one of its transformers. Where would diamond find coverage for the defense of this law suit

- ☐ the spouse of the insured (not living in the same residence)
- ☐ commercial general liability
- ☐ \$80,000 on the dwelling; \$16,000 garage
- ☐ insurance company and/ or the first named insured in the policy

Term

268 of 552

What is one reason a person may purchase a dwelling policy instead of homeowners policy?

- ☐ managing general agent
- ☐ the owner does not reside in the dwelling
- ☐ liability coverage for watercraft listed on schedule
- ☐ Conditions

Term

269 of 552

Professional liability insurance should be purchased by all of the following categories of professions, EXCEPT

- ☐ business income insurance
- ☐ professional athletes and coaches
- ☐ excess and surplus lines insurer
- ☐ all coverage under the personal auto policy

Term

270 of 552

Grace has a homeowners policy that includes section 1 coverage's A,B and C. A,B and C provide coverage for

- ☐ yes under the personal property part of his HO policy
- ☐ dwelling, other structures, and personal property
- ☐ these are all covered
- ☐ Any peril, other than those specifically excluded

Term

271 of 552

If the limit of liability on a structure is \$75,000 and the structure is worth \$125,000, how much would be owed on fire loss of \$50,000 if the policy has an 80% coinsurance requirement(disregard any deductibles?)

- ☐ \$37,500
- ☐ the broad and special forms have limited coverage for glass breakage
- ☐ HO6
- ☐ \$200

Term

272 of 552

Which of the following types of crime insurance is the broadest in terms of coverage?

- ☐ Personal loss exposure
- ☐ does not have the authority to collect premiums from producing broker agents.
- ☐ business income insurance
- ☐ theft

Term

273 of 552

Jackie's personal auto policy(which is unendorsed) would provide payment for which of the following?

- ☐ damage to the insured's living room furniture that is result of the furniture being removed from the insured premise to prevent it from further damage after a covered fire at the same premises
- ☐ there is coverage, but only for the damage caused by the ensuing fire and explosion
- ☐ the umbrella covers most liability exposure; the excess liability will cover only one line
- ☐ expense of repairing a neighbor's wall, surrounding a garden, that Jackie accidentally backed through

Term

274 of 552

laura is driving her own car on behalf of her employer laura's negligent operation of her car injures a member of public. The employer may be held liable because of what is called.,

- ☐ Gross negligence
- ☐ Absolute liability
- ☐ Contractual liability
- ☐ Vicarious liability

Term

275 of 552

The concept of "pure risk" involves the possibitly of chance of which of the following?

- ☐ large limbs and branches of a tree that have fallen into the street as a result of a windstorm. The insured collides with them
- ☐ A loss only
- ☐ Lost wages
- ☐ Mutalization

Term

276 of 552

A wrongful act other than a crime or breach of contract is law

- ☐ Tort law
- ☐ There is no difference
- ☐ Common law
- ☐ Statutory law

Term

277 of 552

during the application process for a personal auto policy. the applicant says that he has not had any tickets or accidents. The insurance company accepts the risk and issues the policy. Shortly after, the insured's vehicle is stolen resulting in the insurer paying the loss and canceling the policy. This despite the fact that they found out that the insured had received several traffic tickets that he neglected to mention. What is the reason for the course of action of the insurer

- ☐ The structure that is exposed a loss, the perils that may occur, consequently causing a loss possible financial impact of loss
- ☐ the uncertainty of a loss
- ☐ the traffic tickets that were not disclosed were not material. This is why the policy was not rescinded and the claim was paid
- ☐ The chance of loss only

Term

278 of 552

If an individual does not own an auto, nor have regular use of an auto, what endorsement to a personal auto policy could be used to properly protect that individual

- ☐ miscellaneous type vehicle endorsement
- ☐ named non-owned liability coverage
- ☐ all coverage under the personal auto policy
- ☐ return stolen property to the address shown in the policy

Definition

279 of 552

The amount to replace damage property minus depreciation

- ☐ When may a representation be withdrawn?
- ☐ Are standardized umbrella policies available?
- ☐ What is the primary difference between a HO2 and HO3 policy?
- ☐ Actual cash value is defined as the

Term

280 of 552

If an Inland marine policy provides coverage for any loss unless it is specifically excluded, it would be considered which of the following?

- ☐ a private passenger auto owned by a partnership
- ☐ Any peril, other than those specifically excluded
- ☐ prior approval
- ☐ open perils

Term

281 of 552

Which of the following statements is true regarding compensatory damages?

- ☐ There is always a direct correlation between general and special damages awarded to the victim
- ☐ There is usually no direct correlation between the amount of general and special damages awarded to the victim
- ☐ General damages are always higher than special damages in compensatory awards
- ☐ The amount of general and special damages is fixed by law and cannot be altered by the court

Term

282 of 552

When an automobile insurance policy is canceled at the request of the insured , and the insurance company keeps all earned premiums, in addition to an amount to pay for overhead expense incurred by the insurer, it is referred to as what type of cancellation

- ☐ the partial premium cancellation
- ☐ the pro rata cancellation
- ☐ the short rate type of cancellation
- ☐ the full premium refund cancellation

Term

283 of 552

An unendorsed personal auto policy would cover which of the following under the liability coverage part?

- ☐ makes carrying insurance of percentage of the building value advisable to avoid a possible
- ☐ the repair expenses that are needed to fix the damage to neighbor's fence that was the result the insured negligently driving through it while driving unsafely
- ☐ The insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%
- ☐ Valuation clause

Term

284 of 552

Which of the following statement is true regarding insurer with admitted status in California?

- ☐ they may offer discounts based on marital status
- ☐ they must use age and gender to determine rates
- ☐ they may not use race color, religion, or national origin as condition to use higher rate
- ☐ they are required to use credit score for rate adjustments

Term

285 of 552

What is the primary difference between a HO2 and a HO4 policy?

- ☐ protection and indemnity coverage
- ☐ Personal loss exposure
- ☐ perils insured against under coverage C
- ☐ property insured under coverage A

Term

286 of 552

The amount to replace property with like property of the same quality and construction is the

- ☐ Replacement cost
- ☐ Market value
- ☐ Actual cash value
- ☐ Stated amount

Definition

287 of 552

requires agents to keep records of any compensation they may have received for their services involved with premium financing

- ☐ It is a violation of the CA insurance code to act as a producer for a non admitted carrier unless
- ☐ It is a violation of CA insurance code to act as a producer for a non- admitted carrier unless
- ☐ Any person who makes a loan of money using real property as security
- ☐ The CA insurance code

Term

288 of 552

which of the following is the best definition of an insurer's loss reserve

- ☐ the total revenue earned by an insurer from premiums
- ☐ the estimated cost of an insurer's administrative expenses
- ☐ the approximate dollar amount of an insurer's liability of at least one (or more) open claims
- ☐ the projected profit margin for an insurer over the next year

Term

289 of 552

Calculate the amount the insurer would pay, under a PAP, for a loss in the following circumstances, with the following coverage limit: collision coverage--\$500 deductible. Other-than collision-- \$50 deductible; damage to the insured's vehicle-\$1050 after insured misses a stop sign and hits another vehicle

- ☐ \$550
- ☐ named non-owner coverage endorsement
- ☐ other than collision coverage
- ☐ HO4

Term

290 of 552

Define the term "we" as it is found in three types of property covered under a commercial building and personal property coverage form, specifically, business personal property

- ☐ notice must be sent with return receipt required
- ☐ this is how the insurer would handle this claim.
- ☐ the insured as listed in the declaration page
- ☐ the broadest coverage on any auto shown in the declarations

Term

291 of 552

What is the type of loss exposure that would include land and property attached to it

- ☐ Personal loss exposure
- ☐ Personnel loss exposure
- ☐ Liability loss exposure
- ☐ Direct loss

Term

292 of 552

Under a personal auto policy, who qualifies as an insured while using a covered auto

- ☐ the short rate type of cancellation
- ☐ any person
- ☐ the spouse of the insured (not living in the same residence)
- ☐ Valuation clause

Term

293 of 552

Which of the following losses would be covered under Dick's personal auto policy other than collision coverage?

- ☐ Dick's car is damaged in a minor collision at a stoplight
- ☐ someone shoots Dick's car rear window while the car is parked on the street overnight
- ☐ Dick's car is damaged by a falling tree during a storm
- ☐ Dick's car is vandalized with graffiti while parked

Term

294 of 552

It is a violation of CA insurance code to act as a producer for a non- admitted carrier unless

- ☐ the producer works for an admitted carrier
- ☐ the producer is licensed by multiple states
- ☐ the producer has approval from the state governor
- ☐ the producer is a surplus lines broker

Term

295 of 552

Which of the following perils is insured against in the special form, but not in the basic form?

- ☐ a well- maintained dwelling located in a hazardous brush area
- ☐ riot or civil commotion
- ☐ Personal loss exposure
- ☐ collapse

Term

296 of 552

Under the liability portion of an unendorsed personal auto policy, what coverage is available if the named insured is operating a company car a regular basis?

- ☐ the personal auto policy
- ☐ the policy excludes this usage
- ☐ umbrella policy
- ☐ named non-owned liability coverage

Term

297 of 552

Symbol 7 in a business auto policy indicates that there is liability coverage for:

- ☐ auto specially described in the policy are covered
- ☐ a builder risk policy
- ☐ The principle of vicarious liability
- ☐ additional living expense

Term

298 of 552

If the named insured has been charged with arson in reference to a total loss to the insured's building, what effect will the insured's action have on the mortgage holder's claim for damages?

- ☐ the mortgagee is entitled to receive 100% of their loss
- ☐ this limit could reduce the products and completed operations
- ☐ the insured being in the alcoholic beverage business
- ☐ this is defined and classified as concealment

Term

299 of 552

When is property and casualty agent required to inform an insured of any conditions which may be precedent to coverage regarding a personal auto policy?

- ☐ at time of delivery
- ☐ at time of claim
- ☐ at time of policy delivery
- ☐ at time of application

Term

300 of 552

Determine the actual cash valuing the following situation: original price of office when purchased (8 years ago) --\$9,000; depreciated amount at time of fire --\$5,000; current replacement cost --\$12,000

- ☐ \$550
- ☐ Only salvage
- ☐ Rate-making
- ☐ \$7,000

Term

301 of 552

You are the agent for an insured that carries both a homeowners policy and a personal auto policy(PAP) with you through the same insurance carrier. The insured is driving home,(in the auto you have insured),after purchasing a brand new big- screen TV,VCR, stereo, CD

- ☐ these types of vehicles(motorcycles, and other types of non-automobiles) are not covered under a personal auto policy that is unendorsed
- ☐ Kim gives her neighbor ride to the store in the insured car. She has an auto accident in which they each incur over \$2000 in medical expenses. The maximum that Kim's policy will pay is \$2000 to her and \$2000 to her neighbor
- ☐ both personal activities and premises of the insured as well as any activates of the insured that occurs off the named premises
- ☐ DVD player all in one unit. He collides with a parked car and destroys the new TV. How would this loss be covered?/ the homeowners policy-personal property coverage

Term

302 of 552

It is a violation of the CA insurance code to act as a producer for a non admitted carrier unless

- ☐ the producer is a licensed life insurance agent
- ☐ the producer is a surplus lines broker
- ☐ the producer is authorized by the state insurance board
- ☐ the producer is appointed by an admitted carrier

Term

303 of 552

What is it about a liability policy that causes there to be a need for inland marine coverage

- ☐ the exclusion for care, custody and control
- ☐ The uncertainty associated with a loss occurring
- ☐ the dwelling property coverage part
- ☐ individuals having a fire & casualty broker- agent license

Term

304 of 552

• The types of transactions and insurer that a surplus lines broker is involved with is/are

- ☐ non-admitted insurer, life insurances
- ☐ admitted insurer, life and health insurances
- ☐ non-admitted insurer, property and casualty insurances
- ☐ admitted insurer, commercial insurances

Term

305 of 552

To determine the fact actual cash value of commercial building for coinsurance purposes uses

- ☐ Book value
- ☐ Stated value
- ☐ Replacement value
- ☐ Fair market value

Term

306 of 552

Under the terms and conditions of the commercial package policy, who is responsible to make all premium payments, if there are four individuals named as insured's, which are all operating a business under a DBA, and are unincorporated

- ☐ Personal loss exposure
- ☐ the first named insured
- ☐ the dwelling property coverage part
- ☐ being shipped with freight company

Term

307 of 552

The symbol "4" on a business auto policy indicates coverage for which of the following categories of vehicles?

- ☐ auto and personal liability only
- ☐ dwelling, other structures, and personal property
- ☐ owned autos other than private passenger auto
- ☐ an employee who causes an injury to a customer while working in home of that customer

Term

308 of 552

The ordinance or law limitation in a homeowners policy may cause a gap in coverage in which of the following situations?

- ☐ \$30,000
- ☐ the insured regularly uses, at the permission of his employer, a company owned car and has an accident with the vehicle
- ☐ the insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%
- ☐ liability coverage that is excess of his neighbor's liability coverage. His collision coverage also applies, but on primary basis

Term

309 of 552

The term "your" was found in the definitions section of a commercial building and personal property coverage form referring to "your business personal property" is defined as which of the following?

- ☐ the named insured from the declaration page, exclusive
- ☐ business owners policy
- ☐ the policy excludes this usage
- ☐ A negligent act that causes bodily injury or property damage that follows a sequence of uninterrupted, but related chains of events

Term

310 of 552

What perils are insured against under the "additional coverage's property removed" of a homeowners policy?

- ☐ all perils
- ☐ property insured under coverage A
- ☐ open or all-risk coverage
- ☐ Fair market value

Term

311 of 552

What is the formula for actual cash value (ACV) in determining loss values

- ☐ Replacement cost less depreciation
- ☐ Original purchase price less depreciation
- ☐ Depreciation plus replacement cost
- ☐ Depreciation less replacement cost

Term

312 of 552

State of California DOI minimums for liability coverage are \$15,000 /\$30,000/\$5,000. An insured has an accident out of state that has higher financial responsibility limits than California. Which of these is true?/

- ☐ a loss occurs or event can occur and still be eligible for recover of payment under the terms of the policy, if it occurs after this date
- ☐ the policy automatically provides the higher necessary limits without an extra premium
- ☐ an unendorsed personally auto policy does not automatically cover two wheeled vehicles
- ☐ the personal auto policy is excess

Term

313 of 552

• Which of the following is the only reason that an insurer can cancel an automobile insurance policy?

- ☐ the large amount of resources needed for some catastrophic losses
- ☐ liability and medical
- ☐ the driver's license of the individual who usually operates the vehicle that is insured by the policy and who is insured by the policy has had license suspended temporarily
- ☐ the minimum liability for CAARP policies are 15000/30000/5000

Term

314 of 552

Which rate approval filing system is used in California for most lines of insurance

- ☐ post approval
- ☐ state approval
- ☐ mandatory
- ☐ prior approval

Term

315 of 552

What gives an insured party the right to seek compensation if it is proven that another person with negligence contributed to the injury

- ☐ Tort law
- ☐ Statutory law
- ☐ Declaration
- ☐ Worker' compensation

Term

316 of 552

The amount paid for damaged property which is equal to the price for which it could have been sold is called

- ☐ Market value
- ☐ Book value
- ☐ Salvage value
- ☐ Replacement value

Term

317 of 552

Which of the following is true regarding the loss of income that is result of a suspension of business's operations under the business income coverage form?

- ☐ Personal loss exposure
- ☐ it must be the result of a peril that is insured under the policy, otherwise there will be no coverage
- ☐ a "palm pilot" computer (owned by the insured) is stolen from the vehicle while parked in the insured's driveway. There are forcible signs of the vehicle
- ☐ falling objects

Term

318 of 552

Which cause of loss, under commercial property coverage, includes coverage for the peril of windstorm?

- ☐ products/completed limit
- ☐ all coverage under the personal auto policy
- ☐ basic, broad and special
- ☐ none of these are covered

Term

319 of 552

The dwelling policy form that offers the broadest type of coverage is which of the following

- ☐ sending the prospect an email suggesting that they buy a certain type of policy
- ☐ requires agents to keep records of any compensation they may have received for their services involved with premium financing
- ☐ life insurance
- ☐ special

Term

320 of 552

• It can be very tempting for commission based insurance salespeople to perform unethical activities in order to make a sale. of the following which would not be a reason why an agent might be tempted to act unethically?

- ☐ gaining recognition from peers and supervisors
- ☐ seeking higher commissions through volume sales
- ☐ meeting sales quotas set by the company
- ☐ maintaining the best interest of customers first and foremost

Term

321 of 552

Which of these covered by an employee dishonesty coverage form?

- ☐ theft of stock from the business, owned by the policyholder, by an employee
- ☐ there is the convenience all coverage being contained in one policy, which typically contains package discounts
- ☐ damage caused by the insured, driving into a fallen tree, that fell during a storm
- ☐ there is coverage, but only for the damage caused by the fire and explosion

Term

322 of 552

Your client owns a business that leases a warehouse and office space, in order to maximize the space and size of the building he has installed over \$100, 00 of partitions, lighting, security equipment, carpeting, bookcases and storage cabinets. All of these features are permanently installed and therefore cannot be removed and taken when he moves upon expiration of these. To protect his financial interest in these items in the event of fire, which of the following should be utilized on his commercial property policy

- ☐ the concealed facts were not material, they would paid the claims anyways
- ☐ improvements and betterments coverage
- ☐ actual cash value of the damaged or stolen property
- ☐ When there is negligence whether proven or not

Term

323 of 552

The territorial limits of a personal auto policy include which of the following

- ☐ Personal loss exposure
- ☐ all perils
- ☐ collapse
- ☐ Toronto,Canada

Term

324 of 552

Under a building and personal property coverage form, if the insured has been vacant for more than 60 consecutive days. What effect will this have on vandalism loss

- ☐ the insurance department
- ☐ the loss is excluded
- ☐ Insurable interest
- ☐ The principle of vicarious liability

Term

325 of 552

A representation as to the past

- ☐ present or future is an ,verified promise
- ☐ conditional agreement
- ☐ tentative proposal
- ☐ unverified assumption

Term

326 of 552

Inland marine policies nearly always provide_____coverage

- ☐ to encourage insured's to purchase coverages near the value of the property
- ☐ a surplus lines broker
- ☐ Neither of these apply
- ☐ open peril/All Risk /Special form

Term

327 of 552

A business owner, who is insured with a business auto policy, is interested in purchasing the necessary liability coverage for any losses and subsequent claims that result from an employee's use of their own vehicles. What would be the best way to do this?

- ☐ the short rate type of cancellation
- ☐ All-risk or open peril
- ☐ disability, death, sickness, of valuable employee, Personnel loss exposure
- ☐ buy employer's non ownership liability in the business auto policy

Term

328 of 552

An automobile insurance company is permitted to cancel a personal auto policy for which of the following reasons?

- ☐ it is determine by the affect of the facts on each party to the contract in determining his or her estimate of the disadvantages of the contract
- ☐ the insured being in the alcoholic beverage business
- ☐ Receive full payment for the loss, if the required premium has been paid
- ☐ the insured's drive license is suspended. This is the person that normally drives the vehicle

Term

329 of 552

The coverage found under both a homeowners section 2 and a comprehensive personal liability policy extends to which of the following?

- ☐ "all risks", coverage applies to real property, broad form named perils coverage applies to personal property
- ☐ DVD player all in one unit. He collides with a parked car and destroys the new TV. How would this loss be covered?/ the homeowners policy-personal property coverage
- ☐ both personal activities and premises of the insured as well as any activities of the insured that occurs off the named premises
- ☐ the windshield of the vehicle is damaged while left overnight on a city street within 5 miles of the insured's residence

Term

330 of 552

Risk management technique that eliminates a loss exposure and reduces the chance of loss to zero is

- ☐ Avoidance
- ☐ Retention
- ☐ Acceptance
- ☐ Transfer

Term

331 of 552

The applicant wants a homeowner policy that has open peril coverage on his home (building structure) assuming he is eligible for the policy, which would you recommend?

- ☐ open perils
- ☐ HO3
- ☐ bulk mailing
- ☐ prior approval

Term

332 of 552

Under a value reporting form, if the insured has made no reports as required, what is the most that will be paid in the event of a loss?

- ☐ 75% of the limit
- ☐ pro basketball player
- ☐ falling objects
- ☐ Employee training

Term

333 of 552

How much coverage, if any, is available under HO3 for landlord's furnishings?

- ☐ awnings
- ☐ omitted
- ☐ \$2,500
- ☐ perjury

Term

334 of 552

Which of the following collapse losses would be covered under an HO3?

- ☐ Weight of contents
- ☐ Lost wages
- ☐ collapse
- ☐ broader coverage is desired

Term

335 of 552

Livery conveyance is best described as a

- ☐ vehicle for hire to transport people
- ☐ perils insured against under coverage C
- ☐ Retention of loss by the insured
- ☐ present or future is an ,verified promise

Term

336 of 552

If an insured rents an auto while on vacation, what coverage if any will be available for physical damage coverage under a personal auto policy

- ☐ wheter the rate mathematically reflects the insurance company's investment income
- ☐ this would be considered a misrepresentation
- ☐ concealment does not occur if no inquiry is made
- ☐ the broadest coverage on any auto shown in the declarations

Term

337 of 552

A commercial property causes of loss forms do not cover any losses caused by

- ☐ liability coverage for watercraft listed on the schedule
- ☐ to encourage insurd's to purchase coverages near the value of the property
- ☐ smoke damage from industrial operations
- ☐ Losses that are catastrophic

Term

338 of 552

Which of the following best characterize a speculative risk?

- ☐ A situation that only involves potential savings
- ☐ A situation that offers the possibility for a loss or gain
- ☐ A situation that eliminates any possibility of gain
- ☐ A situation that guarantees a loss

Term

339 of 552

An individual is driving home from the store with a new 48- inch flat screen TV. An accident occurs and the TV is destroyed. The driver carries a homeowners policy (HO) as well as a personal auto policy (PAP). Will the damaged TV be covered? If yes, how?

- ☐ under the collision section of the policy
- ☐ yes, under the personal property part of his HO policy
- ☐ be caused by an insured peril, otherwise there is no coverage
- ☐ named non-owner coverage endorsement

Term

340 of 552

What is the process whereby insurers decide which customers to insure and what coverage to offer

- ☐ Regulation
- ☐ Ratemaking
- ☐ Marketing
- ☐ Underwriting

Term

341 of 552

- What is the minimum number of required continuing education hours that a fire and casualty broker-agent must meet?
- ☐ 30 hours each 24 month period following the date of the original license if licensed after 1/1/92
 - ☐ 15 hours each 12 month period following the date of the original license if licensed after 1/1/92
 - ☐ 20 hours each 12 month period following the date of the original license if licensed before 1/1/92
 - ☐ 25 hours each 12 month period following the date of the original license if license after 1/1/92

Term

342 of 552

What is the minimum discount percentage for the "good driver" discount?

- ☐ 30%
- ☐ 20%
- ☐ 15%
- ☐ 10%

Term

343 of 552

A situation is which there only the possibility of loss or no loss is considered a

- ☐ Pure risk
- ☐ Adverse risk
- ☐ Speculative risk
- ☐ Physical hazard

Term

344 of 552

exclusive agents

- ☐ generally represent only one insurer
- ☐ often operate independently without insurer ties
- ☐ typically work for multiple insurers
- ☐ usually specialize in life insurance only

Term

345 of 552

What additional coverage does a DP2 have compared to a DP1?

- ☐ Built- in appliance
- ☐ losses that are catastrophic
- ☐ The chance of loss only
- ☐ additional living expenses

Term

346 of 552

Under section 2 of homeowner's policy, comprehensive personal liability, coverage is extended to which of the following

- ☐ extends the filling reporting period indefinitely
- ☐ premises described in the policy and all personal activities of the insure on or off the described premises
- ☐ the increased expense incurred for the insurer to repair or rebuild property according to building code specification
- ☐ an unendorsed personally auto policy does not automatically cover two wheeled vehicles

Term

347 of 552

All of the following causes of loss are covered by equipment breakdown insurance, EXCEPT:

- ☐ Financial loss
- ☐ inherent defect
- ☐ theft
- ☐ the content and wording of the policy is stated in the state insurance code

Term

348 of 552

Plate glass coverage, which is found in a commercial property policy, (basic, broad and special cause of loss form), contains which of the following characteristics?

- ☐ the broad and special forms have limited coverage for glass breakage
- ☐ the mortgagee of the insured property can recover on this loss
- ☐ there is coverage, but only for the damage caused by the ensuing fire and explosion
- ☐ if any chance a loss happening during the policy period

Term

349 of 552

The ordinance or law limitation in a homeowner's policy may cause a gap in coverage in which of the following situations?

- ☐ sending the prospect an email suggesting that they buy a certain type of policy
- ☐ someone paid to transact insurance on behalf of another person, but not on behalf of the insurer
- ☐ The insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%
- ☐ Valuation clause

Term

350 of 552

When does a personal auto policy require the insured to notify the police?

- ☐ for minor fender benders
- ☐ for hit and run and thefts
- ☐ for traffic violations
- ☐ for routine maintenance and repairs

Term

351 of 552

The coverage that is the broadest, is found in which of the following dwelling insurance contracts?

- ☐ there is no appreciable difference
- ☐ liability and medical payments
- ☐ the special form
- ☐ Financial loss

Term

352 of 552

How would a "peril" best be defined?

- ☐ Severity of the loss event
- ☐ Reason for the loss event that leads up to loss
- ☐ Financial impact of the loss
- ☐ Frequency of the loss occurrence

Term

353 of 552

under California insurance code marketing department is responsible for all of the following; except

- ☐ bulk mailing
- ☐ zip coding
- ☐ rw and associates underwriting for blg insurance corporation
- ☐ signing a covering note

Term

354 of 552

What is the advantage to the insured of purchasing a commercial package policy instead of purchasing the coverage on a monoline basis

- ☐ Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land
- ☐ the umbrella covers most liability exposure; the excess liability will cover only one line
- ☐ there is the convenience all coverage being contained in one policy, which typically contains package discounts
- ☐ the large amount of resources needed for some catastrophic losses

Term

355 of 552

A home is damage exclusion in the cause of loss- special form applies to all the following EXCEPT:

- ☐ the personal auto policy
- ☐ the policy will automatically provide the higher limits at no extra charge
- ☐ plumbing system leakage
- ☐ Insuring agreement

Term

356 of 552

All of the following insurance company are private insurers; EXCEPT

- ☐ Captive insurance company
- ☐ Legal insurance company
- ☐ Reciprocal insurance company
- ☐ Fraternal insurance company

Term

357 of 552

Under an unendorsed personal auto policy, what coverage is available for personal effects?

- ☐ HO6
- ☐ \$30,000
- ☐ The insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%
- ☐ none

Term

358 of 552

A personal auto policy will cover all the following types of losses, EXCEPT:

- ☐ requires agents to keep records of any compensation they may have received for their services involved with premium financing
- ☐ HO3
- ☐ a "palm- top" computer, personally owned by the insured, is stolen from the insured's car while it is parked in her driveway at home
- ☐ the short rate type of cancellation

Term

359 of 552

Coverage parts A,B & C of GCL is which of the following?

- ☐ of profits due to suspension of business operations because of a premises fire
- ☐ none of these are excluded from the power and authority given to fire and casualty managing general agent
- ☐ bodily injury and property damage liability, personal and advertising injury, and medical payments
- ☐ to the premises described and to the personal activities of the insured's on or off of the premises

Term

360 of 552

A homeowners, specifically coverage C, has certain limits on various classifications of property, the lower sub limits apply for THEFT to the following of personal property; EXCEPT

- ☐ money
- ☐ Jill
- ☐ a homeowner decides not to install a pool in the backyard
- ☐ HO6

Term

361 of 552

An insured's loss reserve for a claim is

- ☐ A fixed amount determined by the insurer
- ☐ The maximum payout allowed by the policy
- ☐ An estimate or the amount that the insurer will pay
- ☐ The actual amount paid by the insurer

Term

362 of 552

Which of the following describes an insurer who has enough financial resources only to provide for all of its liability and for all reinsurance of all outstanding risk?

- ☐ liquidate
- ☐ guaranteed
- ☐ insolvent
- ☐ overdraft

Term

363 of 552

Type of exposure can be best defined as a condition or situation where the exposure to financial loss is presented to a business owner by the injury

- ☐ Market fluctuation, economic downturn, Financial loss exposure
- ☐ disability, death, sickness, of valuable employee, Personnel loss exposure
- ☐ Operational disruption, supply chain issues, Business interruption exposure
- ☐ Property damage, theft, natural disaster, Asset loss exposure

Term

364 of 552

Your insured client has an auto policy with liability and collision coverage's. the insured experience an at fault accident the first time he uses the neighbor's truck which has liability coverage only. His PAP provides coverage and will pay for the entire loss since he was driving the truck

- ☐ this is how the insurer would handle this claim.
- ☐ A situation that offers the possibility for a loss or gain
- ☐ maintaining the best interest of customers first and foremost
- ☐ any part of the loss which is caused by the perils of vandalism, theft or glass breakage, sprinkler leakage will not be covered

Term

365 of 552

All of the following meet the definition of the insured under a HO3 policy, EXCEPT

- ☐ Retention of the loss by the insured
- ☐ automobiles while kept for the owner in a commercial parking garage
- ☐ Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land
- ☐ a 70-year old grandparent residing in an adult care facility

Term

366 of 552

Under California insurance code a surplus lines broker

- ☐ transact business only with admitted insurers
- ☐ transact business only with non admitted insurers
- ☐ work exclusively with government-sponsored insurers
- ☐ handle business with both admitted and non-admitted insurers

Term

367 of 552

In reference to the coverage's provided in the basic form, the boat owners policy is similar to what other policy

- ☐ basic, broad, and special
- ☐ the policy exclude this usage
- ☐ the personal auto policy
- ☐ plumbing system leakage

Term

368 of 552

Lee has a personal auto policy with \$250 deductible collision coverage and \$100 deductible other collision coverage. He runs a stop sign and hits another car. There is \$1300 worth of damage to his(the insured's) car. How much would the insurer pay the damage to lee's car

- ☐ it excludes that part of the loss resulting from the enforcement of a building ordinance or law
- ☐ \$1050
- ☐ these are all covered
- ☐ special

Term

369 of 552

Newly acquired motorcycle are not automatically covered under a personal auto policy (PAP) because:

- ☐ a builder risk policy
- ☐ the mortgagee of the insured property can recover on this loss
- ☐ plubing system leakage
- ☐ the unendorsed policy does not cover two wheeled vehicles

Term

370 of 552

There is exclusion in an automobile insurance issued by admitted insurer in California regarding coverage in Mexico, which can only be provided through an endorsement to PAP. Which is true regarding this endorsement?

- ☐ it is liability coverage, on an excess basis , provided for losses that occur in Mexico, within 25 miles of the California/Mexico international border
- ☐ it is determine by the affect of the facts on each party to the contract in determining his or her estimate of the disadvantages of the contract
- ☐ only on the below average business submitted to them keeping the good business for themselves
- ☐ DVD player all in one unit. He collides with a parked car and destroys the new TV. How would this loss be covered?/ the homeowners policy-personal property coverage

Term

371 of 552

Damage done by an earthquake to an insured auto covered by the auto policy

- ☐ greater number of smaller claims sent to the insurer
- ☐ perils insured against under coverage C
- ☐ under the other- than-collision section of the policy
- ☐ if the other than collision coverage is purchased

Term

372 of 552

An insured purchased a commercial policy on an owned building. The policy contains a coinsurance provision. The coinsurance clause

- ☐ makes carrying insurance of percentage of the building value advisable to avoid a possible
- ☐ market conduct regulation
- ☐ requires agents to keep records of any compensation they may have received for their services involved with premium financing
- ☐ forward to the commissioner a notice of appointment with 14 days of receipt of application.

Term

373 of 552

"other-than collision" coverage of personal auto policy covers which of the following types of losses?

- ☐ the windshield of the vehicle is damaged while left overnight on a city street within 5 miles of the insured's residence
- ☐ There is an equal exchange of amounts or values within the contract
- ☐ the cost of repairing the neighbor's fence that Steven damage due to the negligent operation of his car
- ☐ there is coverage, but only for the damage caused by the ensuing fire and explosion

Term

374 of 552

Under a personal auto policy(PAP),how would the damage sustained to an insured vehicle as the result the insured smashing into a large fallen tree that had fallen several hours earlier as the result of a lightening striking is it covered?

- ☐ license number of hit and run vehicle
- ☐ yes, under the personal property part of his HO policy
- ☐ under the collision section of the policy
- ☐ named non-owner coverage endorsement

Term

375 of 552

All of the following are incorrect regarding the CAARP,EXCEPT

- ☐ allow the company to inspect the damaged property before it is repaired
- ☐ to encourage insured's to purchase coverages near the value of the property
- ☐ Fraternal insurance company
- ☐ \$15,000/\$30,000/\$5,00 are the minimum liability limits required under this plan

Term

376 of 552

Under a special cause of loss form if a landslide is caused by an unnatural flow of water due to improper grading, the loss is,

- ☐ Covered under the specified perils
- ☐ Denied due to natural causes
- ☐ Excluded under the concurrent causation
- ☐ Included under the named exclusions

Term

377 of 552

California has lower financial responsibility limits than most other states. If Randy, a California personal auto policy insured, carrying minimum limits on coverage, has an accident in a state that requires higher limits than,

- ☐ only if an endorsement is attached to the policy and comes from the insurer
- ☐ the applicant has previously has a license application denied for cause within the past five years
- ☐ the policy will automatically provide the higher limits at no extra charge
- ☐ Tort law

Term

378 of 552

Grace has a homeowner's policy that includes section 1 coverage's A, B and C. A, B and C provide coverage for

- ☐ the cost of the labor only if the labor is performed at the place of disablement
- ☐ Absolute liability
- ☐ homes located in a hazardous brush or high risk urban areas
- ☐ dwelling, other structures, and personal property

Term

379 of 552

Any person who makes a loan of money using real property as security

- ☐ Shall no make available the information contained in a borrower's fire or causulaty policy if the borrower has filed a statement with the lender that they do not want the lender to disclose this informqation.
- ☐ an unendorsed personally auto policy does not automatically cover two wheeled vehicles
- ☐ David leaves his personal (non-business) laptop computer in his car overnight. Car is parked in the driveway outside of his home. Computer is stolen from his
- ☐ liabillty if the insured vessel strikes a marina and injures a dock worker

Term

380 of 552

What type of policy is comparable to commercial property policy coverage as a dwelling policy's coverage is

- ☐ business owners policy
- ☐ the boat owners policy covers injuries to the people on the boat, and the HO3 covers injuries to other outside the home
- ☐ a builder risk policy
- ☐ the policy exclude this usage

Term

381 of 552

The provision in a property policy which states that the insured has been paid up to their insurable interest is

- ☐ Loss settlement clause
- ☐ Valuation clause
- ☐ Both-to-blame clause
- ☐ Liberalization clause

Term

382 of 552

Typically exclusions under any medical expense policy include all of the following EXCET

- ☐ a 70-year old grandparent residing in an adult care facility
- ☐ Insurane service office and American association of insurances
- ☐ claims also covered by personal auto policy medical payment
- ☐ the large amount of resources needed for some catastrophic losses

Term

383 of 552

All of the following vehicles are eligible for coverage under a personal auto policy, EXCEPT

- ☐ \$160,000 on the dwelling and \$32,000 on the other structures.
- ☐ a private passenger auto owned by a partnership
- ☐ the insured's customers who are in the process of transacting business on the insured's premises
- ☐ All-risk or open peril

Term

384 of 552

The medical expense coverage in workers' compensation policy

- ☐ property insured under coverage A
- ☐ Amount to replace the damage property without a deduction for depreciation
- ☐ does not have a time nor a dollar limit
- ☐ there is no appreciable difference

Term

385 of 552

What is one reason a person may purchase a dwelling policy instead of homeowners policy?

- ☐ the insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%
- ☐ the insured's furniture is damaged when it is removed from the insured's residence during the fire at the residence
- ☐ the owner does not reside in the dwelling
- ☐ the increased expense incurred for the insurer to repair or rebuild property according to building code specification

Term

386 of 552

The negotiation of a policy involves which of the following

- ☐ sending the prospect a letter guaranteeing coverage
- ☐ sending the prospect an email suggesting that they buy a certain type of policy
- ☐ visiting the prospect to sign the agreement in person
- ☐ calling the prospect to finalize policy details

Term

387 of 552

Steven's(unendorsed) personal auto liability coverage would pay for

- ☐ they may not use race color, religion, or national origin as condition to use higher rate
- ☐ damage caused by the insured, driving into a fallen tree, that fell during a storm
- ☐ the cost of repairing the neighbor's fence that Steven damaged due to the negligent operation of his car
- ☐ There is an equal exchange of amounts or values within the contract

Term

388 of 552

Section 770 of the insurance code is true regarding unfair or trade practice?

- ☐ an entity can require insurance to be placed with any agency
- ☐ an entity must ensure insurance is placed with a local agency
- ☐ an entity cannot suggest insurance be placed with a specific insurer
- ☐ an entity cannot demand the insurance be placed with a particular agency

Term

389 of 552

"umbrella policies "provide coverage for and are best defined as which of the following?

- ☐ of profits due to suspension of business operations because of a premises fire
- ☐ excess liability coverage, on a broader basis, above an underlying primary policy
- ☐ there is coverage, but only for the damage caused by the fire and explosion
- ☐ A vehicle that is self-insured because it is owned by a state agency

Definition

390 of 552

the amount of covered expense that the insured pays before the insurer pays,

- ☐ Absolute risk(liability) is imposed
- ☐ an insurance deductible is

If the named insured has been charged with arson in reference to a total loss to the

- ☐ insured's building, what effect will the insured's action have on the mortgage holder's claim for damages?
- ☐ Which of the following statements is NOT true? A fire and casualty agent

Term

391 of 552

The CA insurance code requires property insurance policies specify all of the following EXCEPT

- ☐ the insured address
- ☐ the amount of premium charged for each coverage
- ☐ insured's risks or perils
- ☐ the policy period

Term

392 of 552

Of the following choices, which one would define the "replacement date" which is contained in the structure of a claims-made professional liability policy contract?

- ☐ extends the filing reporting period indefinitely
- ☐ Insuring agreement
- ☐ the insured's customers who are in the process of transacting business on the insured's premises
- ☐ a loss occurs or event can occur and still be eligible for recover of payment under the terms of the policy, if it occurs after this date

Term

393 of 552

Of the following, which are included under the coverage provide by a worker' compensation policy?

- ☐ when the broker/agent has no appointment with any insurance company, but licensing renewal fee have paid and CE requirement have been met
- ☐ coverage for sickness or injuries illnesses that are job related without regard to who is at fault or negligent
- ☐ expense of repairing a neighbor's wall, surrounding a garden, that Jackie accidentally backed through
- ☐ a contract of insurance that is temporary, only in writing, between the insured and the insurer

Term

394 of 552

All of the following are principal rating factors under proposition 103 for personal auto policies, EXCEPT

- ☐ number of listed drivers
- ☐ professional sports player
- ☐ There is an equal exchange of amounts or values within the contract
- ☐ broader coverage is desired

Term

395 of 552

Section1 of a homeowners policy provides coverage for all of the following individuals EXCEPT

- ☐ the cost of the labor only if the labor is performed at the place of disablement
- ☐ the spouse of the insured (not living in the same residence)
- ☐ an entity cannot demand the insurance be placed with a particurl agency
- ☐ homes located in a hazardous brush or high risk urban areas

Term

396 of 552

In addition to paying legal damages, but without deducting from the policy's limits, which of these would be covered in a personal auto policy?

- ☐ excess and surplus lines insurer
- ☐ these are all covered in addition to the limits stated in the policy contract
- ☐ excess liability coverage, on a broader basis, above an underlying primary policy
- ☐ under the other- than-collision section of the policy

Term

397 of 552

Which of the following bodily injury or property damage loss exposure is covered by an unendorsed commercial general liability policy?

- ☐ the spouse of the insured (not living in the same residence)
- ☐ Lisa destroys a mailbox while driving a (non-owned) company car furnished for Lisa's regular use
- ☐ vehicles that are owned by an agency of the state that self-insures the vehicle
- ☐ an employee who causes an injury to a customer while working in home of that customer

Term

398 of 552

• Entitles or organizations that provide coverage for medical expenses in California are subject to the jurisdiction of the state department of insurance (with several exceptions) unless these entities or organizations can demonstrate that during the course of providing these services

- ☐ if any chance a loss happening during the policy period
- ☐ breakage of glassware by an earthquake
- ☐ there is coverage, but only for the damage caused by the fire and explosion
- ☐ they are subject to the, all of the above

Term

399 of 552

What is the effect of "concurrent causation" exclusion under the "cause of loss-broad form in a commercial property policy?

- ☐ the driver's license of the individual who usually operates the vehicle that is insured by the policy and who is insured by the policy has had license suspended temporarily
- ☐ If there is a loss resulting from two or more perils that occur at the same time to cause a loss then is no coverage is any of the perils are excluded
- ☐ it is liability coverage, on an excess basis , provided for losses that occur in Mexico, within 25 miles of the California/Mexico international border
- ☐ Receive full payment for the loss, if the required premium has been paid

Term

400 of 552

What will the mortgage holder do in the event that an insurer does not pay claim as the result of the actions of the insured

- ☐ Receive a partial refund due to insurer's failure
- ☐ Negotiate a settlement with the insurer
- ☐ Deny the claim until the insurer resolves the issue
- ☐ Receive full payment for the loss, if the required premium has been paid

Term

401 of 552

An endorsement and an extra premium would be required for which of the following liability losses under a personal auto policy?

- ☐ the insured regularly uses, at the permission of his employer, a company owned car and has an accident with the vehicle
- ☐ the broadest coverage on any auto shown in the declarations
- ☐ only on the below average business submitted to them keeping the good business for themselves
- ☐ the umbrella covers most liability exposure; the excess liability will cover only one line

Term

402 of 552

Insurers may purchase reinsurance for a variety of reason which of the following is not a good example of the use of reinsurance? Insurer purchases reinsurance

- ☐ the windshield of the vehicle is damaged while left overnight on a city street within 5 miles of the insured's residence
- ☐ only on the below average business submitted to them keeping the good business for themselves
- ☐ expense of repairing a neighbor's wall, surrounding a garden, that Jackie accidentally backed through
- ☐ be caused by an insured peril, otherwise there is no coverage

Term

403 of 552

Professionals are exposed to liability for failure to perform their profession duties. Which of the following would be least likely prospect for a professional liability policy?

- ☐ market conduct regulation
- ☐ there is no appreciable difference
- ☐ personal article floater
- ☐ pro basketball player

Term

404 of 552

Jack, condo owners, wants a fire and allied lines coverage for personal property, liability coverage for him and family members, and protection for assessments or damage for the building structure and other common areas. Which homeowners form would you recommend

- ☐ collapse
- ☐ yes, under the personal property part of his HO policy
- ☐ HO6
- ☐ theft

Term

405 of 552

If an insured timely requests coverage for a newly acquired auto under an existing personal auto policy, what coverage is provided before the request is made?

- ☐ a 70-year old grandparent residing in an adult care facility
- ☐ Excluded under the concurrent causation
- ☐ broadest coverage for any vehicle shown on the declarations
- ☐ only on the below average business submitted to them keeping the good business for themselves

Term

406 of 552

Under a standard ISO homeowners HO3, real property and personal property are covered for the perils of:

- ☐ "all risk" coverage applies to real property. Broad form named perils coverage applies only to personal property an applicant would like to buy a personal umbrella policy:/ your insurer may requires that he maintain underlying liability coverage by carrying auto and personal liability coverage
- ☐ organized, chartered, or incorporated under the law of state of California
- ☐ to the premises described and to the personal activities of the insured's on or off of the premises
- ☐ all times

Term

407 of 552

Where would an insured find insurance coverage to protect against damage to a shipment of televisions shipped on a semi truck for the insured's business

- ☐ Direct loss
- ☐ Vancouver,Canada
- ☐ inland marine
- ☐ Financial loss

Term

408 of 552

Part of the policy that establishes limits upon the insurer and the insured with the insurance policy

- ☐ Declaration
- ☐ Waivers
- ☐ Definitions
- ☐ Conditions

Term

409 of 552

The named for a commercial package policy is " Jill koslin and Edward koslin DBA coastline photo shop" under the terms of the common policy conditions of the commercial package policy, who is responsible for the premium payments?

- ☐ theft
- ☐ Jill
- ☐ it is liability coverage, on an excess basis , provided for losses that occur in Mexico, within 25 miles of the California/Mexico international border
- ☐ 10 days

Term

410 of 552

What kind of coverage would you recommend to one of your insured's who is single and does not own a car, but, she does , on occasion, drive cars that belong to her friends (both male and female). Additionally, she is planning a vacation to Florida and will be renting a car while there

- ☐ named non-owner coverage endorsement
- ☐ license number of hit and run vehicle
- ☐ by adding a personal injury endorsement
- ☐ covered as other than collision loss

Term

411 of 552

What type of homeowners's policy provides open peril coverage?

- ☐ the cost of the labor only if the labor is performed at the place of disablement
- ☐ special
- ☐ H03
- ☐ forward to the commissioner a notice of appointment with 14 days of receipt of application.

Term

412 of 552

What is the difference between per accident limit in a split limit policy and single limits

- ☐ There is no difference
- ☐ Information is output, and data are input
- ☐ Less depreciation, is know as the, Actual cash value
- ☐ The per accident limit applies to property damage, and the single limit applies to all claims

Term

413 of 552

A PAP contains the following limitations; \$30,000/person and \$50,000/accident for bodily injury. An accident occurs that injures three people resulting in a number of lawsuits. The outcome of lawsuits found the insured to be liable and responsible for the following damages: \$10,000 for the first person; 13,000 for the second person and \$35,000 for the third person; what will the policy pay?

- ☐ guard dog
- ☐ 25 hour during each twelve month period for the first four years the licensee is licensed
- ☐ \$50,000
- ☐ all perils

Definition

414 of 552

the transfer of the insured's interest in a policy to another party

- ☐ How are the HO3 and HO5 Similar?
- ☐ the term "assignment" refers to
- ☐ Which of these is defined as "exclusive agent"
- ☐ What does it mean if an agent's license is inactive?

Term

415 of 552

The method that the California DOI uses to approve or disapprove rate filing for various types of insurance such as homeowners and automobile is known as?

- ☐ prior approval method
- ☐ statutory accounting method
- ☐ twisting method
- ☐ remittance method

Term

416 of 552

A claims-made professional liability policy contains a retroactive date. Which of these best describes this date?

- ☐ the earliest date that a loss or event may occur and still be eligible for coverage under the policy
- ☐ a three story office building
- ☐ The insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%
- ☐ the cost of the labor only if the labor is performed at the place of disablement

Term

417 of 552

Which of the following losses would be excluded by the ordinance or law exclusion?

- ☐ Compensation for time away from work
- ☐ additional cost necessary to make a restroom ADA compliant
- ☐ Personal loss exposure
- ☐ a 70-year old grandparent residing in an adult care facility

Term

418 of 552

All of the following are true regarding the California standard form fire insurance policy, EXCEPT:

- ☐ the windshield of the vehicle is damaged while left overnight on a city street within 5 miles of the insured's residence
- ☐ individuals having a fire & casualty broker- agent license
- ☐ the content and wording of the policy is stated in the state insurance code
- ☐ claims also covered by personal auto policy medical payment

Definition

419 of 552

make all necessary repairs to protect the property from further damage. The excludes that part of the loss resulting from the enforcement of a building ordinance or law

- ☐ An insured duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT a correct statement about these duties? The insured must:
 - ☐ An insured' duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT correct statement about these duties? The insured must:
- There is exclusion in an automobile insurance issued by admitted insurer in California
- ☐ regarding coverage in Mexico, which can only be provided through an endorsement to PAP. Which is true regarding this endorsement?
- Define the term "we" as it is found in three types of property covered under a
- ☐ commercial building and personal property coverage form, specifically, business personal property

Term

420 of 552

All of the following are characteristics of an ideally insurable loss exposure"except"

- ☐ Large number of similar exposure units
- ☐ Large number of exposure units
- ☐ Losses that are definite and measurable
- ☐ 4 large number of exposure units
- ☐ Losses that are catastrophic

Term

421 of 552

The personal auto policy towing and labor endorsement pays for

- ☐ the cost of labor at any repair facility
- ☐ the cost of towing to a repair shop and labor at the shop
- ☐ the cost of parts and labor at any location
- ☐ the cost of the labor only if the labor is performed at the place of disablement

Term

422 of 552

Which of the following coverages' does an open peril policy provide?

- ☐ Perils specifically named as being included
- ☐ Perils listed as mandatory inclusions
- ☐ Perils other than those specifically named as being excluded
- ☐ Perils covered only by additional endorsements

Term

423 of 552

What factor supported the principle of indemnity?

- ☐ Utmost good faith
- ☐ Actual cash value
- ☐ Replacement cost
- ☐ Insurable interest

Term

424 of 552

After a collision loss, the personal auto policy requires the insured to

- ☐ repair the property immediately without inspection
- ☐ allow the company to inspect the damaged property before it is repaired
- ☐ discard the damaged property
- ☐ sell the damaged property to a third party

Term

425 of 552

Under a yacht policy, protection and indemnity provides coverage for

- ☐ homes located in a hazardous brush or high risk urban areas
- ☐ an employee who causes an injury to a customer while working in home of that customer
- ☐ \$30,000
- ☐ liability if the insured vessel strikes a marina and injures a dock worker

Term

426 of 552

An agent who divert/comingles premium dollars for the agents's own use is guilty of

- ☐ theft
- ☐ fire
- ☐ earthquake
- ☐ falling objects

Term

427 of 552

If the limit of liability on a structure are \$75,000 and the structure is worth \$125,000, how much would be owed on fire loss of \$50,000 if the policy has an 80% coinsurance requirement (disregard any deductibles?)

- ☐ Underwriting
- ☐ \$37,500
- ☐ 60 days
- ☐ collapse

Term

428 of 552

Employee dishonesty coverage forms would apply to which of the following?

- ☐ does not have the authority to collect premiums from producing broker agents.
- ☐ paint on the premises to be applied to the interior
- ☐ company funds and securities that are stolen by an employee
- ☐ a well- maintained dwelling located in a hazardous brush area

Term

429 of 552

Which advisory organization(s) develop forms for the standard market?

- ☐ National insurance federation and Insurance brokers association
- ☐ Insurance regulatory agency and American insurance council
- ☐ Insurane service office and American association of insurances
- ☐ Insurance marketing institute and Global insurance group

Definition

430 of 552

liability coverage for watercraft listed on the schedule

- ☐ The watercraft endorsement on a homeowners policy extends coverage for
- ☐ This statement that is true regarding medical expense coverage in a worker's compensation policy is
- ☐ Damage done by an earthquake to an insured auto covered by the auto policy
- ☐ What is one way in which the HO2, HO4, and HO6 are similar?

Term

431 of 552

Which of the following describes an insurer who has enough financial resources only to provide for all its liabilities and for all reinsurance of all outstanding risk?

- ☐ insolvent
- ☐ overdraft
- ☐ liquidate
- ☐ guaranteed

Term

432 of 552

The definition of "mobile equipment" and "automobile" are defined in both a commercial general liability policy and business auto policy to specify the coverage on any vehicle or equipment. These two coverage's

- ☐ it contains an unlimited amount of coverage for both time and dollar amount
- ☐ differ and therefore avoids any over- laps between the two contracts
- ☐ RW And Associates underwriting for Blg insurance Corporation
- ☐ when the notice of appointment is signed by the insurer

Term

433 of 552

How would the damage resulting from hail be covered under a personal auto policy

- ☐ license number of hit and run vehicle
- ☐ Liability loss exposure
- ☐ covered as other than collision loss
- ☐ There is no difference

Term

434 of 552

Jack, a condo owners, wants a fire and allied lines coverage for personal property, liability coverage for him and family members, and protection for assessments or damage for the building structure and other common areas. Which homeowners form would you recommend

- ☐ actual cash value
- ☐ HO4
- ☐ HO6
- ☐ \$0

Term

435 of 552

All of the following explain the characteristics that are unique to insurance contracts EXCEPT

- ☐ There is a fixed term with no renewal option
- ☐ There is an equal exchange of amounts or values within the contract
- ☐ The contract is binding regardless of payment
- ☐ There is a guarantee of profit for the insurer

Term

436 of 552

Business income as it is defined under a business income coverage form provides coverage for actual losses of business income resulting from the suspension of the actual operation of the business. Which of the following is the formula to determine this dollar amount?

- ☐ net income of the business plus normal operating expenses including payroll
- ☐ there is coverage, but only for the damage caused by the ensuing fire and explosion
- ☐ under the collision section of the policy
- ☐ there is coverage, but only for the damage caused by the ensuing fire and explosion

Term

437 of 552

Which of the following policies would provide coverage for a builder under construction?

- ☐ does not have the authority to collect premiums from producing broker agents.
- ☐ basic, broad and special
- ☐ a builder risk policy
- ☐ the insured desires broader coverage

Term

438 of 552

Which of the following losses is not covered by either the personal auto policy collision or other than collision coverage?

- ☐ is concerned that she might be liable to the renter for liable to the renter for injuries that might occur in connection with the rental
- ☐ a loss occurs or event can occur and still be eligible for recover of payment under the terms of the policy, if it occurs after this date
- ☐ extends the filling reporting period indefinitely
- ☐ David leaves his personal (non-business) laptop computer in his car overnight. Car is parked in the driveway outside of his home. Computer is stolen from his

Term

439 of 552

What is required of a broker- agent before appointing an insurance solicitor?

- ☐ must hold a permanent license
- ☐ must be approved by the insurer's board
- ☐ must hold a temporary license
- ☐ must complete additional training

Term

440 of 552

what would be the result of a lower(250) deductible vs. the selection of a higher deductible (\$1000)

- ☐ greater number of smaller claims sent to the insurer
- ☐ reduced premium costs for the insured
- ☐ fewer number of larger claims sent to the insurer
- ☐ greater number of larger claims sent to the insurer

Term

441 of 552

All of the following are listed on a commercial liability declarations page, EXCEPT

- ☐ actual cash value
- ☐ property insured under coverage A
- ☐ safety driving record
- ☐ rented to you limit

Term

442 of 552

The insurer decides not to renew an insured's personal auto policy. How much notice must the insurer provide to the insured

- ☐ 30 days
- ☐ 60 days
- ☐ 90 days
- ☐ 15 days

Definition

443 of 552

when the notice of appointment is signed by the insurer

- Entitles or organizations that provide coverage for medical expenses in California are subject to the jurisdiction of the state department of insurance (with several exceptions) unless these entities or organizations can demonstrate that during the course of providing these services
 - For more serious offenses and conviction an application for a license can be denied without a hearing which of the following circumstances would allow for an application to be denied for an insurance license WITHOUT A HEARING
 - All fire and casualty broker-agents must not only be licensed with the DOI but they must also be appointed with the insurance companies they will be representing. When does this authority resulting from the insurer appointment to transact insurance business become effective
- The definition of "mobile equipment" and "automobile" are defined in both a commercial general liability policy and business auto policy to specify the coverage on any vehicle or equipment. These two coverage's

Term

444 of 552

The retroactive date of claims-made professional liability policy is always:

- the broad and special forms have limited coverage for glass breakage
- office building 2 stories high and containing about 5,000 square feet
- There is an equal exchange of amounts or values within the contract
- the earliest date an event/loss may occur and still be eligible for recovery

Term

445 of 552

A personal auto policy contains the state required liability and medical payment coverage as well as "other-than- collision" coverage. How would a claim be paid if there were a loss after an insured is stolen and then wrecked

- ☐ makes carrying insurance of percentage of the building value advisable to avoid a possible
- ☐ auto and personal liability only
- ☐ liability coverage that is excess of his neighbor's liability coverage. His collision coverage also applies, but on primary basis
- ☐ the claim would be paid under "other-than-collision" coverage

Term

446 of 552

A possibility of financially loss resulting from the ownership of property is know as

- ☐ pure risk
- ☐ insurable interest
- ☐ utmost good faith
- ☐ lost wages

Term

447 of 552

Coverage under a comprehensive personal liability policy or a homeowners section 2 extends:

- ☐ automobiles while kept for the owner in a commercial parking garage
- ☐ the insured being liable for a bodily injury to someone in the insured's immediate resident family
- ☐ to the premises described and to the personal activities of the insured's on or off of the premises
- ☐ it transact insurance according to laws of the state of California

Term

448 of 552

a common formula that is used to establish cash value is

- ☐ ACV=replacement cost minus depreciation
- ☐ All-risk or open peril
- ☐ Fair market value
- ☐ Basic principle of insurance

Term

449 of 552

A single person does not own or lease an automobile. She occasionally drives her housemate's vehicle on an emergency basis. She is going on vacation and will have to rent a car. To obtain full automobile insurance coverage when this occurs, what should she purchase?

- ☐ managing general agent
- ☐ the earliest date that a loss or event may occur and still be eligible for coverage under the policy
- ☐ the named non-owned coverage endorsement
- ☐ file a notice of appointment with the commissioner

Term

450 of 552

insur's right to recover the payment of the claim after they paid the insured for their property losses a negligent 3rd party is known as,

- ☐ subrogation
- ☐ assignment
- ☐ appraisal
- ☐ adhesion

Term

451 of 552

which of the following describes the act of making a false entry in any book statement of report of any insurer with the intent to deceive any examiner lawfully appointed to examine the insured's

- ☐ an unfair practice
- ☐ worker' compensation
- ☐ an error of omission
- ☐ an act of violating ?utmost good faith?

Term

452 of 552

A standard "unendorsed" HO3 policy would cover which of the following types of losses/

- ☐ the insured's furnitutre is damaged when it is removed from the insured's residence during the fire at the residence
- ☐ "all risks", coverage applies to real property , broad form named perils coverage applies to personal property
- ☐ Valuation clause
- ☐ is concerned that she might be liable to the renter for liable to the renter for injuries that might occur in connection with the rental

Term

453 of 552

A personal auto policy is written for Lisa providing liability coverage. Which of the following auto liability situations would not be covered unless Lisa has an endorsement attached and paid an additional premium

- ☐ Lisa destroys a mailbox while driving a (non-owned) company car furnished for Lisa's regular use
- ☐ yes under the personal property party of his HO policy
- ☐ the owner does not reside in the dwelling
- ☐ Absolute liability

Term

454 of 552

Which of the following is covered under section 2 of a homeowner's policy

- ☐ products/completed limit
- ☐ additional living expense
- ☐ the approximate dollar amount of an insurer's liability of at least one (or more) open claims
- ☐ all of these are covered

Term

455 of 552

A business owners policy would be appropriate for which of the following types of business?

- ☐ Montreal, Canada
- ☐ an entity cannot demand the insurance be placed with a particular agency
- ☐ transact business only with non admitted insurers
- ☐ a three story office building

Term

456 of 552

A home is damaged two hours after an earthquake, first by fire and then by fuel pipes bursting and causing an explosion. Under a homeowner's HO3 form:

- ☐ there is coverage, but only for the damage caused by the ensuing fire and explosion
- ☐ if any chance a loss happening during the policy period
- ☐ a home well taken care and is located in specially designated hazardous brush fire area
- ☐ The principle of vicarious liability

Term

457 of 552

Your insured has a ten year lease on his store. He has spent \$50,000 on shelving, wall-to-wall carpeting, partitions, and lighting, etc., all of which are part of the building and cannot be legally removed. He is concerned that a fire might damage these changes that he has made and wants to make sure he is protected for their value. He should

- ☐ property insured under coverage A
- ☐ covered as an other-than-collision loss
- ☐ coverage B personal property
- ☐ Losses that are catastrophic

Term

458 of 552

All of the following are considered intentional torts

- ☐ Waiver
- ☐ Lost Wages
- ☐ Auto Accident
- ☐ except, Assault

Term

459 of 552

an insured's loss reserve for a claim is an estimate of the amount insurer will pay for present and future loss, which of the following is an example of loss prevention

- ☐ a homeowner increases the insurance coverage on their property
- ☐ a homeowner installs additional security cameras
- ☐ a homeowner decides to build a larger garage
- ☐ a homeowner decides not to install a pool in the backyard

Term

460 of 552

All homeowners policies specifically describe the duties of the insured following a loss. Identify which of the following is not a duty of the insured following a loss

- ☐ Receive full payment for the loss, if the required premium has been paid
- ☐ greater number of smaller claims sent to the insurer
- ☐ prepare an inventory of the property that has been damaged which included a description of the property, the quantity, the amount of the loss, and the actual cash value
- ☐ other vessels that receive collision damage from the insured vessel

Term

461 of 552

Which of the following is not a federal program

- ☐ Veterans' benefits
- ☐ Health insurance
- ☐ Worker' compensation
- ☐ Tricare

Term

462 of 552

Which of the following suggest the need for an attachment of the additional residence rented to others endorsement to an insured's homeowners policy? The insured also owns a two family dwelling rents it out to two families. The insured

- ☐ a vehicle owned by state agency which self-insures its auto
- ☐ is concerned that she might be liable to the renter for injuries that might occur in connection with the rental
- ☐ these are all covered
- ☐ owned autos other than private passenger auto

Term

463 of 552

A written provision that modifies the provisions of the original contracts is known as

- ☐ The insured
- ☐ Perils insured
- ☐ An endorsement
- ☐ Other collision

Term

464 of 552

Are standardized umbrella policies available?

- ☐ no because each company wants the ability to establish their own pricing
- ☐ broadest coverage for any vehicle shown on the declarations
- ☐ provides broad excess liability coverage over one or more primary policies
- ☐ there is coverage, but only for the damage caused by the fire and explosion

Term

465 of 552

Which type of policy would provide both property and liability coverage for the owner of a condominium as well as for assessments following damage to the building and other structures?

- ☐ include employers non ownership liability coverage in employer's commercial auto policy
- ☐ none of these covers theft of personal property, except by endorsement
- ☐ HO6
- ☐ the professional designation "CPCU" is acceptable following the name of any fire and casualty underwriter

Term

466 of 552

In the state of CA no rate will remain in effect if it is considered to be any of the following, EXCEPT,

- ☐ Impartial
- ☐ Accurate
- ☐ Relevant
- ☐ Procedural

Term

467 of 552

• A fire and casualty managing general agent can do all of the following EXCEPT

- ☐ issue policies directly to consumers
- ☐ determine premium rates independently
- ☐ settle claims without approval from the insurer
- ☐ none of these are excluded from the power and authority given to fire and casualty managing general agent

Term

468 of 552

"risk" is one of the most important terms in the insurance industry. How is it defined

- ☐ the certainty of a gain
- ☐ the likelihood of a benefit
- ☐ the probability of a profit
- ☐ the uncertainty of a loss

Term

469 of 552

What is revenue minus expense?

- ☐ awnings
- ☐ tree, shrubs, and other plants
- ☐ additional living expenses
- ☐ net income

Term

470 of 552

• The process of underwriting a disability income insurance policy includes analyzing the risk associated with certain activities. Hobbies and hazardous sports. Therefore how does the California insurance code define and classify an act of an applicant who doesn't mention when applying for this type of insurance his recent interest and participation in bungee jumping

- ☐ this is defined and classified as concealment
- ☐ this is defined and classified as material information
- ☐ this is defined and classified as twisting
- ☐ this is defined and classified as misrepresentation

Term

471 of 552

Where would an insured that is in the business of importing exotic animals from Africa most likely go to obtain

- ☐ a mutual insurance company
- ☐ a standard commercial insurer
- ☐ a government-sponsored insurer
- ☐ excess and surplus lines insurer

Term

472 of 552

If a building damaged during an attempted burglar where money was stolen from a vault, which of the following coverage's would cover the loss of the money as well as the damage to the building?

- ☐ An estimate or the amount that the insurer will pay
- ☐ greater number of smaller claims sent to the insurer
- ☐ inside the premises-theft of money and securities
- ☐ notice must be sent with return receipt required

Term

473 of 552

Which of the following types of loss would result in a claim for monetary damages due to injury to another or damage to another's property

- ☐ Liability loss
- ☐ Direct loss
- ☐ Personnel loss
- ☐ Physical loss

Term

474 of 552

Which part of the insurance contract summarize the major promises of the insurer

- ☐ Exclusions
- ☐ Entire contract provision
- ☐ Insuring agreement
- ☐ Declaration

Term

475 of 552

Under an unendorsed commercial property coverage form with no optimal coverage's, on what basis are buildings

- ☐ insurance solicitor
- ☐ There is no difference
- ☐ insurable interest
- ☐ actual cash value

Term

476 of 552

When must an injury occur for the medical payment coverage of a commercial general liability policy to apply?

- ☐ requires physical signs of forcible entry or exit
- ☐ someone shoots Dick's car rear window while the car is parked on the street overnight
- ☐ customers being on the insured's premises
- ☐ at time of application

Term

477 of 552

There is a certain type of liability coverage referred to as P&I, which stands for protection & Indemnity. "what does this coverage offer protection for?"

- ☐ the loss is excluded
- ☐ other vessels that receive collision damage from the insured vessel
- ☐ The principle of vicarious liability
- ☐ the convenience of having all coverage in one policy

Term

478 of 552

• Insure' especially those with higher premiums very often have the immediate funds to pay required premiums such as automobile liability insurance. In many cases insurers will provide premium financing. Which of the following statements is correct regarding this financing according to the requirements of the California insurance code?

- ☐ The agent's permanent license becomes inactive
- ☐ actual cash value of the damaged or stolen property
- ☐ any agent that provides premium financing service is required to maintain all records regarding the financing if compensation is received for financing of the premium for three years after transaction.
- ☐ it is determine by the affect of the facts on each party to the contract in determining his or her estimate of the disadvantages of the contract

Term

479 of 552

Under the commercial property coverage program, which causes of loss form(s) include coverage for peril of windstorm?

- ☐ safety driving record
- ☐ basic, broad, and special
- ☐ There is no difference
- ☐ .An at fault accident involving minor bodily injury

Term

480 of 552

Liability exposures that result from the location of a business in addition to the activities of that business, is known as which of the following?

- ☐ the convenience of having all coverage in one policy
- ☐ the premises and operations exposure
- ☐ the perils insured against
- ☐ The agent's permanent license becomes inactive

Term

481 of 552

What is one of the main reasons the federal government insurance programs exist

- ☐ allow the company to inspect the damaged property before it is repaired
- ☐ the large amount of resources needed for some catastrophic losses
- ☐ not limited for either the time and/or the dollar amount
- ☐ falling objects

Term

482 of 552

- The continuing education requirements that a fire and casualty broker-agent must fulfill as required by the DOI are which of the following?
- ☐ 30 hours every two years for the first five years
 - ☐ 40 hours every three years for the entire licensing period
 - ☐ 15 hours annually for the first three years
 - ☐ 25 hour during each twelve month period for the first four years the licensee is licensed

Term

483 of 552

Which of these is not included in definition of the "uninsured motor vehicle" in a personal auto policy?

- ☐ the first named insured and the insurer
- ☐ vehicles that are owned by an agency of the state that self-insures the vehicle
- ☐ liability if the insured vessel strikes a marina and injures a dock worker
- ☐ managing general agent

Term

484 of 552

The intentional relinquishment of known right is

- ☐ Perils Insured
- ☐ Waiver
- ☐ Subrogation
- ☐ Underwriting

Term

485 of 552

Which of the following would be classified as a property insurance coverage

- ☐ Uninsured motorist coverage
- ☐ Personal loss exposure
- ☐ Other-than-collision coverage
- ☐ All-risk or open peril

Term

486 of 552

Which of these Dwelling policy types do not include coverage for burglary of personal property

- ☐ none of these covers theft of personal property, except by endorsement
- ☐ any person
- ☐ the earliest date that a loss or event may occur and still be eligible for coverage under the policy
- ☐ the insured's furniture is damaged when it is removed from the insured's residence during the fire at the residence

Term

487 of 552

The process whereby a stock company a mutual insurer is called

- ☐ Avoidance
- ☐ Subrogation
- ☐ Mutualization
- ☐ Demutalization

Term

488 of 552

An individual is driving home from the store with a new 48- inch flat screen TV. An accident occurs and TV is destroyed. The driver carries a homeowners policy (HO) as well as a personal auto policy (PAP). Will the damaged TV be covered ? if yes , how?

- ☐ or B of the commercial general liability (CGL) contract contains coverage for:/advertising injury
- ☐ makes carrying insurance of percentage of the building value advisable to avoid a possible
- ☐ it provides the convenience of one policy for all exposures and risk
- ☐ yes under the personal property party of his HO policy

Term

489 of 552

An apartment house is worth \$500,000. The owner insures it for \$300,000; the policy has an 80% coinsurance clause. There is a \$200,000 loss. The insurer will pay

- ☐ \$150,000
- ☐ A loss only
- ☐ Still have right to receive the full amount of the loss a payment
- ☐ ...\$2,500

Term

490 of 552

• Under which of the following circumstance can the insurance commissioner deny the application for an agents license without a hearing?

- ☐ the applicant has no prior experience in insurance
- ☐ the applicant has failed to pay application fees
- ☐ the applicant has previously has a licenses application denied for cause within the past five years
- ☐ the applicant has not completed required education

Term

491 of 552

Which inland marine floater is most similar to the scheduled personal property endorsement on a homeowners policy?

- ☐ Perils insured
- ☐ .An at fault accident involving minor bodily injury
- ☐ personal article floater
- ☐ insurance solicitor

Term

492 of 552

In an insured has n Ho3 policy, with replacement cost coverage on the building, what minimum amount must the insured carry to ensure that he has dwelling--\$200,00 and other structure -- \$40,000 replacement cost coverage for a partial loss to ensure the dwelling or other structures if the replacement cost is \$10,000 on the dwelling and \$32,000 on the other structures

- ☐ tell him he should add the personal injury endorsement
- ☐ only if an endorsement is attached to the policy and comes from the insurer
- ☐ yes under the personal property party of his HO policy
- ☐ \$160,000 on the dwelling and \$32,000 on the other structures.

Definition

493 of 552

tell him he should add the personal injury endorsement

☐ The loss under a watercraft endorsement is covered if it arises out of:

- ☐ A single person does not own or lease an automobile. She occasionally drives her housemate's vehicle on an emergency basis. She is going on vacation and will have to rent a car. To obtain full automobile insurance coverage when this occurs, what should she purchase?
- ☐ Your HO3 insured wants to make sure he has liability protection against claims for false arrest, libel and slander. You should
- ☐ There is type of policy in the commercial insurance field known as a commercial lines package. Why would an insured purchase this structure of policy over a monoline policy

Term

494 of 552

What coverage is available under the extended non-owned liability coverage?

- ☐ medical payments only
- ☐ liability and medical payments
- ☐ liability only
- ☐ liability and physical damage

Term

495 of 552

The exclusion for liquor liability found in a commercial general liability policy excludes coverage for any liability claims that are the result of:

- ☐ non-admitted insurer, property and casualty insurances
- ☐ the mortgagee is entitled to receive 100% of their loss
- ☐ there is coverage, but only for the damage caused by the fire and explosion
- ☐ the insured being in the alcoholic beverage business

Term

496 of 552

Which type of loss is a business retirement or disability of key employee, exposed to death retirement or disability of key employee,

- ☐ Liability loss exposure
- ☐ Personnel loss exposure
- ☐ Property loss exposure
- ☐ Financial loss exposure

Term

497 of 552

Which of the following is a true statement about CAARP

- ☐ the named insured's(non-resident) spouse
- ☐ additional cost necessary to make a restroom ADA compliant
- ☐ the minimum liability for CAARP policies are 15000/30000/5000
- ☐ .An at fault accident involving minor bodily injury

Term

498 of 552

"other-than-collision" coverage of a personal auto policy includes which of the following types of losses

- ☐ the broadest coverage on any auto shown in the declarations
- ☐ theft of any of these would be covered
- ☐ make no mention of vehicle inspection requirement
- ☐ breakage of glassware by an earthquake

Term

499 of 552

A pickup or van with a gross vehicle weight of 9,500lbs. may be eligible for personal policy if it was used in the

- ☐ liability and medical
- ☐ farming or ranching
- ☐ falling objects
- ☐ An endrorsment

Term

500 of 552

Which peril(s) is/are included in vacancy permit endorsement?

- ☐ Built- in appliance
- ☐ breach of liability
- ☐ all of the above
- ☐ Weight of contents

Term

501 of 552

Which of these is defined as "exclusive agent"

- ☐ Sells for a brokerage firm
- ☐ Sells for multiple insurance companies
- ☐ Sells only life insurance products
- ☐ Sells for one insurance company and only that company's products.

Definition

502 of 552

the increased expense incurred for the insurer to repair or rebuild property according to building code specification

- ☐ The watercraft endorsement on a homeowners policy extends coverage for
- ☐ Which exclusion in the "causes of loss-special form" excludes coverage for mudflow
- ☐ Ordinance or law coverage provides protection which of the following losses
- ☐ The ordinance or law limitation in a homeowners policy may cause a gap in coverage in which of the following situations?

Term

503 of 552

There is type of policy in the commercial insurance field know as a commercial lines package. Why would an insured purchase this structure of policy over a monoline policy

- ☐ bulk mailing
- ☐ broadest coverage for any vehicle shown on the declarations
- ☐ Valuation clause
- ☐ it provides the convenience of one policy for all exposures and risk

Term

504 of 552

• All of the following factors can be used according to the insurance code in California to determine auto insurance policy rates in addition to any other factors the insurance commissioner is allowed to adopt; and include by regulation

- ☐ 1and 3 only
- ☐ Weight of contents
- ☐ all perils
- ☐ Liability loss

Term

505 of 552

Very often the deductible amount under the collision and other than collision sections of a personal auto policy are different. With this in mind, what would be the amount that an insure would pay for a loss under the following circumstance:\$500.00 dedecutible for other-than-collision, and \$250.00 for collision losses? An accident occurs when an insured runs a red light and collides with another car, causing \$1750.00 worth of damage to his vehicle

- ☐ \$1500.00
- ☐ \$170000
- ☐ Vancouver,Canada
- ☐ Replacement value

Term

506 of 552

If an insured borrows a neighbor's vehicles to run a personal errand, how do the policies respond in the event of an auto accident?

- ☐ the neighbor's policy is primary and the driver's policy is excess
- ☐ Damage for breach, reasonable attorney fee and cost
- ☐ the personal auto policy is excess
- ☐ there is coverage, but only for the damage caused by the fire and explosion

Term

507 of 552

Which of the following is best defined as "the taking of property from a person by someone who has caused or who has threatened to cause that person bodily harm"?

- ☐ 10 days
- ☐ Underwriting
- ☐ 4 days
- ☐ robbery

Definition

508 of 552

when the insurance company representative signs the notice of appointment

- ☐ • When is the authority to transact insurance transferred to another insurance company
- ☐ • When does the authority to transact insurance expire for a licensee from an insurance company
- ☐ • When does the authority to transact insurance become suspended for a licensee from an insurance company
- ☐ • When does the authority to transact insurance that is granted to a licensee from an insurance company become effective

Term

509 of 552

All of the following occupation are exposed to a chance of failing to properly fulfill professional duties and are therefore potential prospects for profession liability policies, except

- ☐ the perils insured against
- ☐ Vancouver, Canada
- ☐ professional sports player
- ☐ Retention of the loss by the insured

Term

510 of 552

The state law that regulates insurer practices regarding underwriting. Sales. rate-making and claims handling are called

- ☐ risk classification regulation
- ☐ financial solvency regulation
- ☐ solvency surveillance regulation
- ☐ market conduct regulation

Term

511 of 552

A distinct feature of the alternative funding method known as self-funding is

- ☐ The premiums are fixed annually
- ☐ The coverage is standardized for all members
- ☐ The benefits are tailored to the group
- ☐ The risks are shared with an external insurer

Term

512 of 552

An applicant of insurance does not reveal information that the insurer would rely upon to issue the policy. This is/an

- ☐ neither of these apply
- ☐ concealment
- ☐ omitted
- ☐ insolvent

Term

513 of 552

The commercial general liability (CGL) declaration pages display many different limits of insurance that apply to a policy. One limit shown is the insured's general aggregate limit. Which of the following is a correct statement about the general aggregate limit?

- ☐ a private passenger auto owned by a partnership
- ☐ does not include the products-completed operation aggregate limit
- ☐ the named non-owned coverage endorsement
- ☐ the insured's home is damaged by fire and must be rebuilt to meet present building codes. The additional cost of complying with the codes is 50%

Term

514 of 552

What is one the main factors that the insuruce commissioner uses while detereming whether a rate excessive or unfairly discriminatory?

- ☐ whether the rate is approved by the state legislature
- ☐ wheter the rate mathematically reflects the insurance company's investment income
- ☐ whether the rate is competitive with other industries
- ☐ whether the rate aligns with market trends

Term

515 of 552

What type of coverage is usually provided by an inland marine policy

- ☐ additional living expense
- ☐ open or all-risk coverage
- ☐ Built- in appliance
- ☐ does not have a time nor a dollar limit

Term

516 of 552

Under section 2 of a homeowner's policy, comprehensive personal liability, coverage is extended to which of the following

- ☐ business owners policy
- ☐ the personal auto policy
- ☐ premise described in the policy and all personal activities of the insured on or off the described premised
- ☐ a loss occurs or event can occur and still be eligible for recover of payment under the terms of the policy, if it occurs after this date

Term

517 of 552

The limit of liability under a personal auto policy under the section "coverage for damage to your automobile is typically the lesser of the dollar amount needed to replace or repair the damage property or the ___ of the damaged property. From the following choices, fill in the blank with the correct answer.

- ☐ hitting any other vehicle or object with the insured vehicle, or the upset of the insured vehicle
- ☐ .An at fault accident involving minor bodily injury
- ☐ perils insured against under coverage C
- ☐ actual cash value (ACV) or fair market value

Term

518 of 552

Which of the following events within the last three years would disqualify an individual from receiving a good driver discount?

- ☐ paint on the premises to be applied to the interior
- ☐ .An at fault accident involving minor bodily injury
- ☐ a home well taken care and is located in specially designated hazardous brush fire area
- ☐ Weight of contents

Term

519 of 552

One of the major advantages to insured's of a commercial lines package program over purchasing coverage on a mono-line basis is:

- ☐ this limit could reduce the products and completed operations
- ☐ the content and wording of the policy is stated in the state insurance code
- ☐ the insured being in the alcoholic beverage business
- ☐ the convenience of having all coverage in one policy

Term

520 of 552

• It is vital that an insurance agent/broker fully assess analyze and review a particular risk in order to determine the proper insurance coverage needed. The least likely way to do this is to

- ☐ focus on the price of the insurance policy
- ☐ emphasize the speed of processing the application
- ☐ ignore the customer's financial situation
- ☐ review all coverage in their current insurance contracts as well as the premiums paid

Term

521 of 552

What would the commissioner likely do if an agent induces a client to co sign a loan

- ☐ file a notice of appointment with the commissioner
- ☐ impose a penalty up to \$1,000
- ☐ impose a penalty up to \$500
- ☐ suspend the agent's license

Term

522 of 552

Jim, your unmarried homeowner's insured does not own his car. He is planning a vacation trip to Florida and will be renting a car. He also drives cars belonging to friends occasionally. To protect Jim in theses situation, you would recommend a personal auto policy with a

- ☐ covered as other collision loss
- ☐ named non-owner coverage endorsement
- ☐ named non-owned liability coverage
- ☐ actual cash value (ACV) or fair market value

Definition

523 of 552

falling objects

- ☐ Which of the following perils is covered by a "causes of loss-basic form"?
- ☐ Which of the following perils is included in the broad form, but not in the basic form
- ☐ Which exclusion in the "causes of loss-special form" excludes coverage for mudflow
- ☐ Under a standard (ISO)HO3, real property and personal property are covered for the perils on

Definition

524 of 552

the insured desires broader coverage

- ☐ What would the commissioner likely do if an agent induces a client to co sign a loan
- ☐ Which of the following coverage's may you buy with a named non-owner liability policy? (choose the most complete answer)
- ☐ It is a violation of the CA insurance code to act as a producer for a non admitted carrier unless
- ☐ Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?

Definition

525 of 552

physical damage, liability and medical payments

- ☐ Which inland marine floater is most similar to the scheduled personal property endorsement on a homeowners policy?
- ☐ Which of the following is not listed on a commercial general liability declarations page as an aggregate limit?
- ☐ What would the commissioner likely do if an agent induces a client to co sign a loan
- ☐ Which coverage's are typically provided in a boat owners policy?

Definition

526 of 552

actual cash value of the damaged or stolen property

☐ The definition of "mobile equipment" and "automobile" are defined in both a commercial general liability policy and business auto policy to specify the coverage on any vehicle or equipment. These two coverage's

☐ What else must an applicant for a fire and casualty license . life agent license. Or personal lines agent license complete in addition to pre- classroom study?

☐ The limit of liability in a personal auto policy providing coverage for "damage to your automobile" is stated as " the lesser of the amount necessary to replace or repair the damaged property (vehicle) or the _____(fill in the blank from the choice below

☐ The amount to replace an insured's damaged property

Definition

527 of 552

paint on the premises to be applied to the interior

☐ What coverage is available under the miscellaneous type vehicle endorsement?

☐ What additional coverage's are available under the scheduled personal property endorsement that is not available under an unendorsed homeowners policy?

☐ All of the following meet the definition of the insured under a HO3 policy, EXCEPT

☐ What items of personal property are included in a coverage A under HO3 policy

Definition

528 of 552

there is coverage, but only for the damage caused by the fire and explosion

- ☐ Which of the following losses would be covered under Dick's personal auto policy other than collision coverage?
- ☐ What will the mortgage holder do in the event that an insurer does not pay claim as the result of the actions of the insured
- ☐ Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?
- ☐ A home is damaged two hours after an earthquake, first by fire, then by fuel pipes bursting and causing an explosion. Under an HO3 form:

Definition

529 of 552

perils insured against under coverage C

- ☐ What is one difference between a homeowners policy and dwelling policy for personal property coverage?
- ☐ Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?
- ☐ Where is ocean marine liability insurance found?
- ☐ What is one way in which the HO2, HO4, and HO6 are similar?

Definition

530 of 552

the named insured's(non-resident) spouse

- ☐ Jack, a condo owners, wants a fire and allied lines coverage for personal property, liability coverage for him and family members, and protection for assessments or damage for the building structure and other common areas. Which homeowners form would you recommend
- ☐ Your HO3 insured wants to make sure he has liability protection against claims for false arrest, libel and slander. You should
- ☐ Which of the following persons is not an insured under section1 of a homeowners policy?
- ☐ The applicant wants a homeowner policy that has open peril coverage on his home(building structure) assuming he is eligible for the policy, which would you recommend?

Definition

531 of 552

there is no appreciable difference

- ☐ What is the advantage to the insured of purchasing a commercial package policy instead of purchasing the coverage on a monoline basis
- ☐ What is one difference between a homeowners policy and dwelling policy for personal property coverage?
- ☐ Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?
- ☐ What is the formula for actual cash value (ACV) in determinig loss values

Definition

532 of 552

tree, shrubs, and other plants

- ☐ What would be the reason(s) for \$100 deductible versus a \$1000 deductible
- ☐ What is the type of loss exposure that would include land and property attached to it
- ☐ What is an additional coverage provided by HO3 policy
- ☐ What items of personal property are included in a coverage A under HO3 policy

Definition

533 of 552

both provide open peril coverage for the dwelling

- ☐ How would the damage resulting from hail be covered under a personal auto policy
- ☐ How are the HO3 and HO5 Similar?
- ☐ Which of the following would be covered by the physical damage section of a personal auto policy?
- ☐ which of the following is considered special damages

Definition

534 of 552

breakage of glassware by an earthquake

- ☐ What will the mortgage holder do in the event that an insurer does not pay claim as the result of the actions of the insured
- ☐ What items of personal property are included in a coverage A under HO3 policy
- ☐ Which of the following persons is not an insured under section 1 of a homeowners policy?
- ☐ What additional coverage's are available under the scheduled personal property endorsement that is not available under an unendorsed homeowners policy?

Definition

535 of 552

Ron's registered/ licensed personal auto while used on his own property which includes 10 acres of undeveloped land

- ☐ Which of the following loss exposures is not covered by section 2 of Ron's homeowners policy?
- ☐ What is the limit for sound reproducing equipment under the coverage endorsement for excess sound reproducing equipment, audio, visual and data electronic, tapes , record, disks and other media
- ☐ The applicant wants a homeowner policy that has open peril coverage on his home(building structure) assuming he is eligible for the policy, which would you recommend?
- ☐ The watercraft endorsement on a homeowners policy extends coverage for

Definition

536 of 552

guard dog

- ☐ • Which of the following best defines a binder
- ☐ A situation is which there only the possibility of loss or no loss is considered a
- ☐ Which property is excluded under an HO3 policy?
- ☐ What factor supportd the principle of indemnity?

Definition

537 of 552

collapse

- ☐ What causes is commonly used to require's purchase insurance close to the value of the property
- ☐ What additional coverage is provided in DP3 that is not included in DP1?
- ☐ What is one peril included in DP2 that is not included in a DP1
- ☐ What perils are insured against under the "additional coverage's property removed" of a homeowners policy?

Definition

538 of 552

it is liability coverage, on an excess basis, provided for losses that occur in Mexico, within 25 miles of the California/Mexico international border

- ☐ • All licensees must be appointed by the insurance companies they represent in order to sell the lines of insurance that a particular insurer may offer. Assuming that a licensed fire and casualty broker/agent has received the proper appointment
- ☐ What is one the main factors that the insurance commissioner uses while determining whether a rate excessive or unfairly discriminatory?
- ☐ There is exclusion in an automobile insurance issued by admitted insurer in California regarding coverage in Mexico, which can only be provided through an endorsement to PAP. Which is true regarding this endorsement?
- ☐ An insured duties after a loss are described in the homeowner's section 1 conditions. Which of the following is NOT a correct statement about these duties? The insured must:

Definition

539 of 552

additional living expenses

- ☐ What additional coverage does a DP2 have compared to a DP1?
- ☐ What does ocean marine hull insurance cover?
- ☐ Which of the following perils is covered by a "causes of loss-basic form"?
- ☐ What of the following is not considered an intentional tort?

Definition

540 of 552

the mortgagee is entitled to receive 100% of their loss

- ☐ If a building damaged during an attempted burglary where money was stolen from a vault, which of the following coverages would cover the loss of the money as well as the damage to the building?
- ☐ Which of the following combinations of characteristics should be considered when making an insurance recommendation to a prospective insured that has just purchased a new office building?
- ☐ If an insured purchased an all-terrain vehicle(ATV), what endorsement can be added to the personal auto policy to insure the vehicle?
- ☐ If the named insured has been charged with arson in reference to a total loss to the insured's building, what effect will the insured's action have on the mortgage holder's claim for damages?

Definition

541 of 552

HO5

- ☐ Which of the following types of businesses could utilize a business owners policy?
- ☐ Which homeowners form is best for use on a brand-new single family dwelling?
- ☐ Which of the following would be classified as a property insurance coverage?
- ☐ Which of these covered by an employee dishonesty coverage form?

Definition

542 of 552

property insured under coverage A

- ☐ What is the primary difference between a HO2 and a HO4 policy?
- ☐ Which of the following would be classified as a property insurance coverage
- ☐ What is the requirement and what is provided under the Mexico coverage endorsement to a PAP in California?
- ☐ All of the following insurance company are private insurers; EXCEPT

Definition

543 of 552

the perils insured against

- ☐ What does ocean marine hull insurance cover?
- ☐ Which peril(s) is/are included in vacancy permit endorsement?
- ☐ What is one of the main reasons the federal government insurance programs exist
- ☐ What is the primary difference between a HO2 and HO3 policy?

Definition

544 of 552

a well- maintained dwelling located in a hazardous brush area

- ☐ What is an additional coverage provided by HO3 policy
- ☐ Which of the following is most likely to be eligible for CA FAIR plan?

The applicant wants a homeowner policy that has open peril coverage on his
☐ home(building structure) assuming he is eligible for the policy, which would you recommend?
- ☐ What items of personal property are included in a coverage A Under HO3 policy

Definition

545 of 552

water(flood)

- ☐ The coverage that is the broadest, is found in which of the following dwelling insurance contracts?
- ☐ • Which of the following insurance professionals would be employed to aid an insurance broker
- ☐ Which exclusion in the "causes of loss-special form" excludes coverage for mudflow
- ☐ Which of the following coverage parts is not found in standard commercial policy?

Definition

546 of 552

riot or civil commotion

- ☐ Under a building and personal property coverage form, if the insured has been vacant for more than 60 consecutive days. What effect will this have on vandalism loss
- ☐ Your HO3 insured wants to make sure he has liability protection against claims for false arrest, libel and slander. You should
- ☐ Which of the following perils is covered by a "causes of loss-basic form"?
- ☐ A home is damaged two hours after an earthquake, first by fire, then by fuel pipes bursting and causing an explosion. Under an HO3 form:

Definition

547 of 552

HO3

- ☐ The ordinance or law exclusion/limitation found in property policies such as the commercial property coverage, and in the homeowner policy have the following effect:
 - ☐ The ordinance or law limitation in a homeowner's policy may cause a gap in coverage in which of the following situations?
 - ☐ The watercraft endorsement on homeowners policy extends coverage for
- The applicant wants a homeowner policy that has open peril coverage on his
- ☐ home(building structure) assuming he is eligible for the policy, which would you recommend?

Definition

548 of 552

the boat owners policy covers injuries to the people on the boat, and the HO3 covers injuries to other outside the home

- ☐ Which is a valid reason for an applicant to purchase a HO3 policy instead of dwelling policy?
- ☐ What is one difference between a homeowners policy and dwelling policy for personal property coverage?
- ☐ What is self- insured retention under an umbrella policy?
- ☐ What is the primary medical payment coverage difference between a boat owners policy and HO3 policy?

Definition

549 of 552

additional living expense

- ☐ Which is an additional coverage does a DP2 have compared to a DP1
- ☐ Which of the following collapse losses would be covered under an HO3
- ☐ Which of the following coverage's is a property insurance coverage.
- ☐ Which of the following is not a type property commonly insured by using a comical coverage

Definition

550 of 552

Weight of contents

- ☐ Jack, condo owners, wants a fire and allied lines coverage for personal property, liability coverage for him and family members, and protection for assessments or damage for the building structure and other common areas. Which homeowners form would you recommend
- ☐ Under a building and personal property coverage form, if the insured has been vacant for more than 60 consecutive days. What effect will this have on vandalism loss
- ☐ How much coverage, if any, is available under HO3 for landlord's Furnishes?
- ☐ Which of the following collapse losses would be covered under an HO3

Definition

551 of 552

coverage C broad named perils

- ☐ What is the primary difference between an HO3 and an HO5?
- ☐ What is the primary difference between a HO2 and HO3 policy?
- ☐ What is one difference between a homeowners policy and dwelling policy for personal property coverage?
- ☐ What is one peril included in DP2 that is not included in a DP1

Definition

552 of 552

Built- in appliance

- ☐ Which exclusion in the "causes of loss-special form" excludes coverage for mudflow
- ☐ Which of the following statements is NOT true? A fire and casualty agent
- ☐ Which of the following would be classified as a property insurance coverage
- ☐ Which of items of real property under HO3 are valued on an actual cash value basis?